



Haramaya University

Department of Management

Lecture

on

Human Resource Management



Course Contents

Ch-1: Overview of HRM

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Chapter One: Overview of Human Resource Management

▪ **Chapter Outline**

- ✓ **Definition of Human Resource Management**
- ✓ **Basic Management Functions**
- ✓ **Features of Human Resource Management**
- ✓ **The Process of Human Resource Management**
- ✓ **Why Human Resource Management?**
- ✓ **Objectives of Human Resource Management**
- ✓ **The Role of Human Resource Management**
- ✓ **Human Resource Management Evolution & Theories**
- ✓ **HRM Model & Activities**

Definition of HRM

Several Definitions:

- Human resource management (HRM) is concerned with the “people” dimensions in management.
- HRM is the term increasingly used to refer to the philosophy, policies, procedures and practices relating to the management of people within organizations.

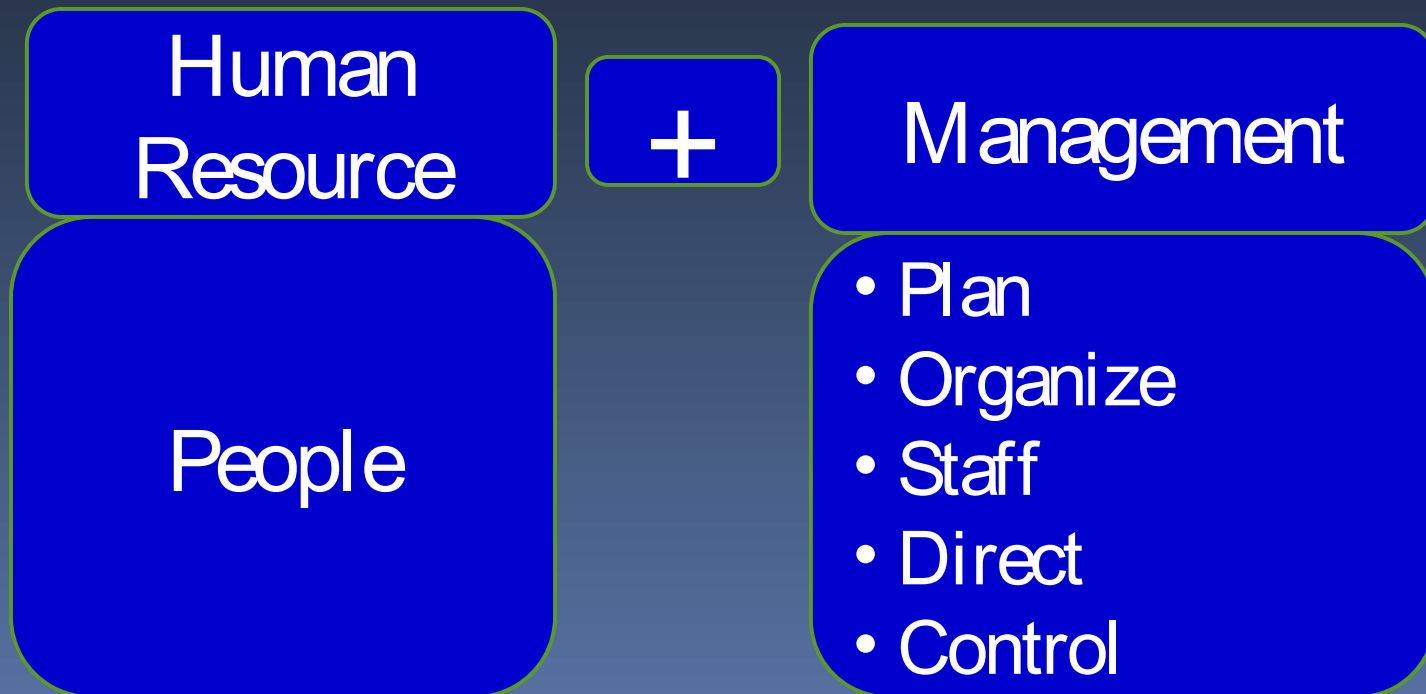


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- Those organizations that are able to acquire, develop, stimulate and keep outstanding workers will be both effective and efficient.
- Human resource thus, creates organizations and makes them survive and prosper.
- If human beings are neglected or mismanaged, the organization is unlikely to do well.

Cont'd

- HRM is the management of one of the most important resources of organizations; **the-people**





Cont'd

- When the definition is broken down to its specific components, we find the **basic management functions** and its application to managing human resources.

Basic Management Functions

- **Planning:** Establishing goals and standards, developing rules and procedure, developing plans and forecasting- predicting or projecting some future occurrence.
- Determining, in advance, a personnel /HR program that will contribute to the goals of an enterprise (human resource requirement plan).

Cont'd

- **Organizing:** Giving each subordinates a specific task; establishing departments; delegating authority to subordinates; establishing channels of authority and communication; coordinating the work of subordinates.



Cont'd

- ***Directing:*** Getting others to get the job done; maintaining morale; motivating subordinates.
- ***Controlling:*** Setting standards of performance, checking to see how actual performance compares with these standards; taking corrective action as needed.



Cont'd

- ***Staffing:***
- ***Procurement:*** Concerned with obtaining proper kind and number of human resources necessary to accomplish organizational goals.
- It specifically deals with determination of **HR requirement, recruitment, selection, and placement.**



Cont'd

- ***Development:*** It is the increase of skill, through training and development programs, needed for proper job performance.
- This function is essential as nature of jobs change through time due to technological advancements, realignment of jobs, and other complexities that come along with expansion of a business.



Cont'd

- **Compensation:** It is the adequate and equitable remuneration of personnel for their contribution to organizational objectives.
- It could be made in the form of money – salary, bonus, or fringe benefits such as medical insurance, transportation or housing allowance, dependency allowance, stock options, etc.

Cont'd

- ***Integration:*** It is concerned with the attempt to effect a reasonable reconciliation of individual, societal and organizational interest.
- It rests upon the foundation of a belief that significant overlapping of interests do exist in our society.
- It is often the case that there is a difference in what **employees, management, and/or society** expects from each other.

Cont'd

- ***Maintenance:*** It is concerned with the perpetuation of the state where by interest of individuals, organizations and the society is reconciled.
- It is going to be a continuous effort that involves the active involvement of the HRM in ensuring the changes that may affect the reasonably good working environment and make the necessary corrective measures.

Cont'd

- ***Separation:*** It refers to the process involved in HRM when an employee is separated from an organization.
- Depending on the reason why an employee separates from an organization, HRM will take the necessary action to ensure that such employees pass through required processes as specified by the policies and procedures of the organization.
- Some of these reasons include retirement, layoffs, out-placement, discharge, etc.



Features of HRM

- **People Oriented:** Human Resource Management is concerned with employees both as individuals and as group in attaining goals.
- **Comprehensive Function:** Human resource management covers all levels and categories of employees.



Cont'd

- **Individual-oriented:** Under human resource management, every employee is considered as an individual so as to provide services and programs to facilitate employee satisfaction and growth.
- **Continuous Function:** Human resource management is a continuous and never ending process.

Cont'd

- **A Staff Function:** Human resource management is a responsibility of all **line managers** and a function of **staff managers** in an organization.
- **Pervasive Function:** Human resource management is the central sub function of an organization and it permeates all type of functional management viz., production management, marketing management and financial management.



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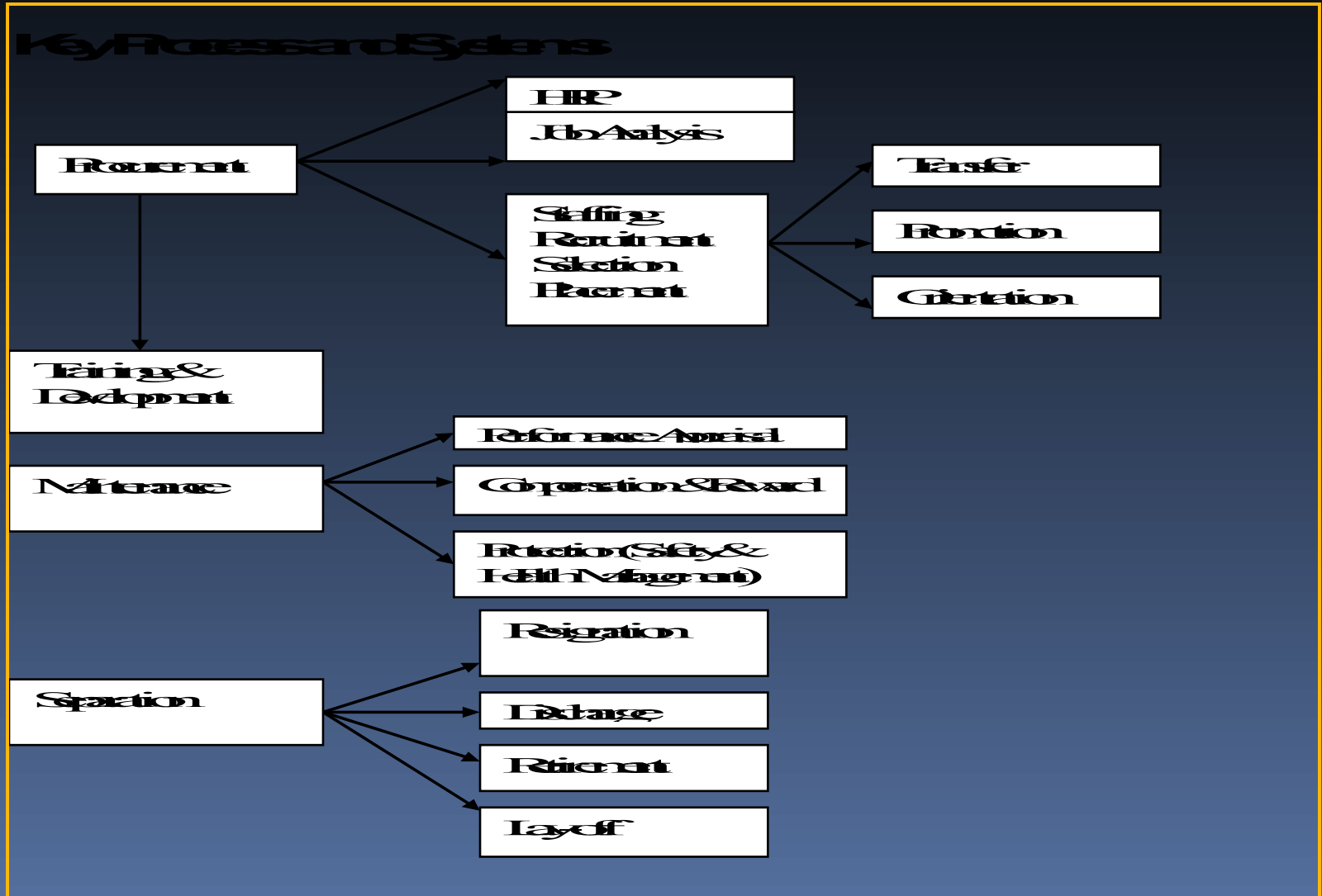
- **Challenging Function:** Managing of human resources is a challenging job due to the dynamic nature of people.
- **Development-oriented:** Individual employee-goals consists of job satisfaction, job-security, high salary, attractive fringe benefits, challenging work, pride, status, recognition, opportunity for development etc.

The Process of HRM

HRM is a process consisting of about four functions:

- 1.Acquisition of human resources
- 2.Development of human resources.
- 3.Maintenance of human resources.
- 4.Separation

KEY HR PROCESS & SYSTEMS





Cont'd

- **Acquisition Function:** Acquisition process is concerned with securing and employing the people possessing required kind and level of human resources necessary to achieve the organizational objectives.
- **Development function:** Development function is the process of improving, molding and changing the skills, knowledge, creative ability, aptitude and values.

Cont'd

- **Maintenance Function:**

- ✓ *The maintenance function is concerned with providing those working conditions that employees believe are necessary in order to maintain their commitment to the organization.*



Cont'd

- ***Separation:*** It refers to the process involved in HRM when an employee is separated from an organization.
- Some of the reasons for separation include retirement, layoffs, out-placement, discharge, resignation, etc.

Why HRM?

- **Changing employee needs**
- **Increased complexity**
- **Increased legal complexity**
- **Developing Human Resource Policies**
- **Human Resource Information Systems (HRIS)**
- **Human Resource Cost- effectiveness**



HRM History: Evolution & Development

Discussion Session

- When was the management of people begun?



Cont'd

- The origins of managing people can be traced back to the existence of man as a social animal.
- HRM as a practice is as old as the human society itself.
- Think of the Egyptian pyramid, the Wall of China, the Obelisk of Axum and the church of Lalibela.



Cont'd

- The most documented beginnings were as a result of the **Industrial Revolution**, where the mass production of goods had significant implications for the 'employees' operating this machinery.
- At the beginning of the Industrial Revolution factories in order to maximize profit they were using :



Cont'd

- Long hours of work
- Minimum pay
- Poor working condition (often overcrowded, little or no sanitation and clean water, disease, accidents and death were common place as a result of the poor sanitary conditions)
- Unsafe working conditions and hazards.
- Women and children were often 'employed' in these factories, often receiving no wage but received shelter and food in return for their labor.



Robert Owen (1771-1855) and Human Resource Management

- Robert Owen, an owner of a textile mill in Scotland made an attempt to improve the relationship between workers and owners.
- He tried to improve the relationship in his own factory by undertaking the following:



Cont'd

- Improved working conditions
- Reduced hours of work
- Allowed workers to buy the product of the factory at cost
- Opened school for the children of the factory
- Paid workers even when work interrupted
- Provided meal
- Provided bathroom facilities



Cont'd

- For the contribution he has made to HRM he is referred to as the father of modern personnel management.

Management Theories & their Influences on HRM

- A range of management theories have had direct application to the development of human resource practices. These include:
 - Classical Management Theory: Scientific Management (Taylor)
 - Classical Organizational Theory (Fayol, Weber)
 - Behavioral School (Industrial Psychology)
 - Management Science (Quantitative)
 - Integrative Approaches: Systems Theory
 - Contingency Approach

Cont'd

1. Classical Management Theory (Scientific Management, Frederick Winslow Taylor)

- Analyze jobs scientifically, find **one best way of doing a job**,
- Select employees scientifically
- **Training** ensures employee and job fit
- Use accounting and control
- Provide Incentives



Cont'd

- Taylor's work has been developed by: Frank and Lillian Gilbreth who have included productivity, time and motion study and scheduling

Cont'd

2. Classical Organizational Theory

- Henry Fayol (Administrative Theory) identified major management functions planning, organizing, commanding, coordinating and controlling and the fourteen principles
- Max Weber (Bureaucratic Theory) suggested bureaucracy as rational, legal, ideal method of administration with its characteristics (Division of labor, rules, impersonality, subordination of individual interest, merit).

Cont'd

3. Behavioral School (Industrial Psychology)

- Applied psychological researcher, **Elton Mayo** initiated the human relations from Hawthorne studies. It identified that employees react positively to management concern, communication and participation.
- Subsequently studies of Abraham Maslow, Frederic Herzberg supplement his findings.

Cont'd

4. Management Science (The quantitative School)

- Focus on measuring the outcome of jobs and work systems.
- Applications include production schedule, productivity strategies and consequent management planning and control mechanism.
- This works on more of managerial decision making than managerial behavior.

Cont'd

5. Integrative Approaches: Systems Theory

- Systems approach sees organizations as unified systems with specific **inputs, process and outputs**.
- Important features include interaction's between jobs, technology, environment (Internal and external) and control mechanisms.
- HR aspect include communication between the various subsystems, the coordination of inputs and outputs, and effective interaction between employees and technological systems.

Cont'd

6. Contingency Approach

- Contingency approach contends that every organization and environment is different and therefore requires a different approach.
- Scientific management, organizational theory, behavioral science or management science may or may not apply, according to business circumstances.
- **Victor Vroom and Fiedler** among others have successfully applied this theory to leadership and management of behavior.



Which Theory and Principles to use in HRM?

- **Discussion Session**

Which Theory and Principles to use in HRM?

- Application of human resources management theory differ from the view of scientific management of ‘one best way’ practice.
- Diverse national and industrial relations environment demand different HRM applications.
- Thus , an HRM theory derived from one country such as the United States experience may not be suitable for Ethiopia or other countries.



Cont'd

- Thus, the application of Human Resource Management need to be contingent on specific situations.

Objectives of HRM

- Human resource management pursue several objectives.
- The primary objective of HRM is to ensure a continuous flow of competent workforce to an organization.
- Three categories of HRM objectives include owners objectives, societal/legal objective, and employee objectives

Cont'd

Owners objectives:

- Human resource management contributes to the objectives of the owners.
- Profit for business organizations.
- Satisfy users and owners for non business organizations.
- Ensure the continuous flow of competent work force and their contributions to the fulfillment of organizational objective.

Cont'd

● Social/legal Objectives:

- HRM satisfy customers needs, fair competition, keep societies welfare including safe products and healthy environment.
- Political-legal objectives comply with government laws and regulations, avoid decimation, allow equal employment opportunities, fair treatment, minimum pay, working hours, Affirmative actions, etc.

Cont'd

■ Employee objectives:

- Satisfy employee needs, achieve **quality work life (QWL)**, by creating job satisfaction and by providing less work and more leisure time



Roles of HRM

1. Strategic partner:

- Aligning HRM strategies to business strategies is important to help the company execute its business strategy

2. Administrative expert:

- Designing and delivering efficient and effective HRM systems, processes, and practices; such as systems for selections, training, developing, appraising and rewarding employees.

Cont'd

3. Employee Advocate:

- Entails managing the commitment and contributions of employees. No matter how skilled an employee is, if he is angry or alienated, he will not contribute his efforts to the firms' success, nor will he stay with the firm for long.

4. Change agents:

- HRM must help in transforming organizations to meet the new competitive conditions. You need to change and develop a capacity for change, communicate, manage conflict, etc.,.



HRM Activities

1. Job Analysis (Job Description, Specification)
2. Human Resource Planning
3. Recruitment and Selection
4. Orientation
5. Training and Development (Coaching)
6. Performance Appraisal (Feedback)



Cont'd

7. Encouraging teamwork
 8. Rewarding employees (Compensation)
 9. Benefits and Services
 10. Counseling employees
 11. Labor Relations
 12. Discipline and Termination
- 



Chapter Two

Human Resource Management Environments



Chapter Outline

HRM Environment

- 1. External Environment**
- 2. Internal Environment**

The Context of HRM



HRM Environment

- Human Resource management as a system is affected by several factors including external and internal environment.
- External Environment are those factors that are outside the organization, they are largely uncontrollable and provide **opportunities and threats (OT)** to the organization. The analysis of external environment is some times called **PEST** analysis



Cont'd

- Internal environment are factors within the organization, they constitute the **strengths** and **weaknesses (SW)** of the organization.
- The analysis of the internal and external environment together is called **SWOT** analysis



Cont'd

- **External Environment**

- Political/legal
- Ethical
- Economic
- Social
- Technological



Cont'd

▪ **Internal Environment**

- Vision, mission,
- Organizational styles, leadership
- Organizational Structure
- Nature of the task
- Work groups

External Environment

1. Political/Legal:

- Governments make different laws that require human resource management to respect. Laws include:
 - Equal employment opportunities,
 - Affirmative actions,
 - Compensation & benefits,



Cont'd

- Safety & health,
- Hours of work, holidays,
- Industrial relations etc.

Cont'd

- Equal Employment Opportunity
- Discrimination
 - Forbids discrimination in all areas of the employment relationship.
 - Employment based on age, sex, disabilities, national origins (ethnicity), religion, compensation (payment on similar jobs) etc.

Cont'd

- **Equal Employment Opportunity**

- **Affirmative Action**

- Governments encourage affirmative action; the commitment of employers to proactively seek out, assist in developing, and hire employees from groups that are underrepresented in the organization.



Cont'd

- Various executive orders require employers to develop affirmative action plans and engage in affirmative action in hiring veterans and the disabled.

Cont'd

- **Compensation & Benefits**

- ❖ **Fair Labor Standards Acts**

- Sets a minimum wage and requires overtime pay for work in excess of 40 hours per week for **non exempt employees.**

Cont'd

- **Compensation & Benefits**
 - Employee Retirement Income Security
 - Sets standards for pension plan management and provides federal insurance if pension plans go bankrupt.

Cont'd

- **Family & Medical Leave Act**
- Requires employers to provide couple of weeks of unpaid leave for family and medical emergencies.

Cont'd

Health & Safety

- **Occupational Safety & Health Act (OSHA)** requires that employers:
 - Provide a place of employment that is free from hazards that may cause death or serious physical harm.



Cont'd

- Obey the safety and health standards established by Occupational Safety and Health Act(OSHA).

Cont'd

Labor Relations

- Sets rules on how employers and employees relationship is governed
 - Joining union
 - Establishing union
 - Bargaining in good faith etc.

2. Ethical HR Practices

- HRM practices must result in the greatest good for the largest number of people
- Employment practices must respect basic human rights of privacy, due process, consent, and free speech
- Managers must treat employees and customers equitably and fairly



3. Economic Environment:

- Such as the business cycle, inflation, income level, competition, etc.



4. Social Environment:

- Such as demographic factors, culture, religion, belief on work etc.

5. Technology Challenge

- Advances in technology have:
 - Changed how and where we work
 - Resulted in **high-performance work systems**
 - Increased the use of teams to improve customer service and product quality
 - Changed skill requirements
 - Increased working partnerships
 - Led to changes in company structure and reporting relationships

Cont'd

- Increased the use and availability of **Human Resource Information Systems (HRIS)**
- Increased the use and availability of **e-HRM**
- Increased the competitiveness in high performance work systems



Global Challenge

- To survive companies must compete in international markets
- Be prepared to deal with the global economy.
- Off shoring – exporting of jobs from developed countries to less developed countries
- On shoring – exporting jobs from urban parts to rural parts

Internal Environment

- **Vision, mission, objectives and strategies-** HRM require to align its activities to these requirements.
- **Styles of Management-** the styles of management whether it is autocratic, democratic or laissez faire has direct implication for the work of HRM.



Cont'd

- **Nature of the task-** whether the job is attractive or repulsive
- **Organizational Structure-** Number of positions and relationships
- **Work groups-** Whether the work group is supportive



HRM Models

There are several models of human resource management. Two of the several models are:

1. General systems model of HRM with environment, inputs, transformation process and outputs.
 2. The Harvard HRM model
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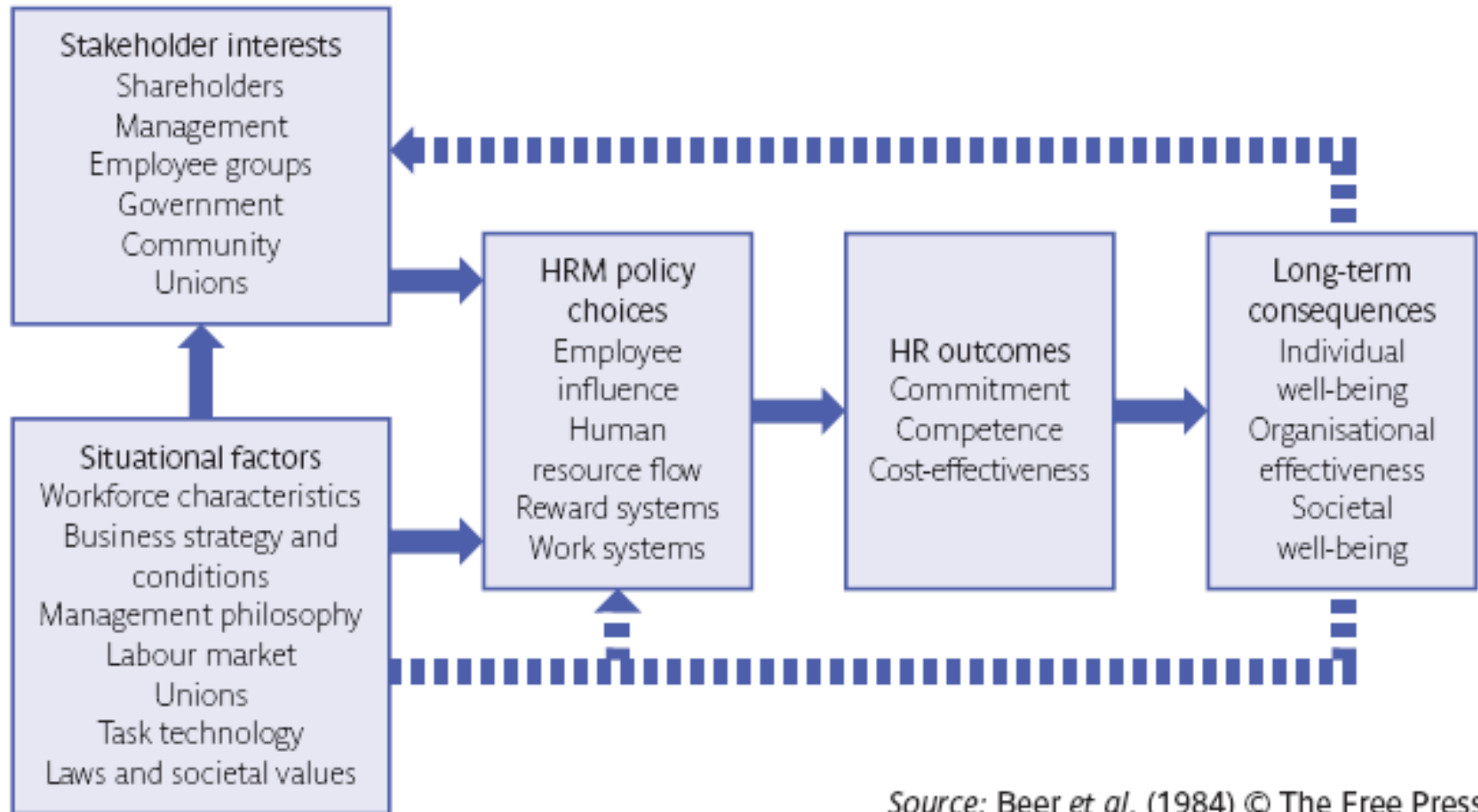
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■ General Systems HRM Model



Cont'd

■ The Harvard HRM model



Source: Beer et al. (1984) © The Free Press.



Chapter 3

Job Analysis & HR Planning



Chapter Outline

1. Definition of Job Analysis

2. Who is involved in JA

3. Components of JA

4. JA Steps

5. JA Potential Problems

6. Job Design



Chapter Outline

7. HRP Meaning (Definition)

8. HRP Importance

9. HRP Steps

1. Definition of Job Analysis

- The reason why people are required in an organization is to fill job vacancies and to do the job.
- This requires human resource management to understand the nature of the job & the nature of the person required for the job.



Cont'd

- **Job analysis is a systematic process of collecting and making judgment about all of the important information related to the nature of the job.**
- **It is the basis of all human resource management activities.**
- **Job analysis objectives are to achieve information on the following job and person aspects:**



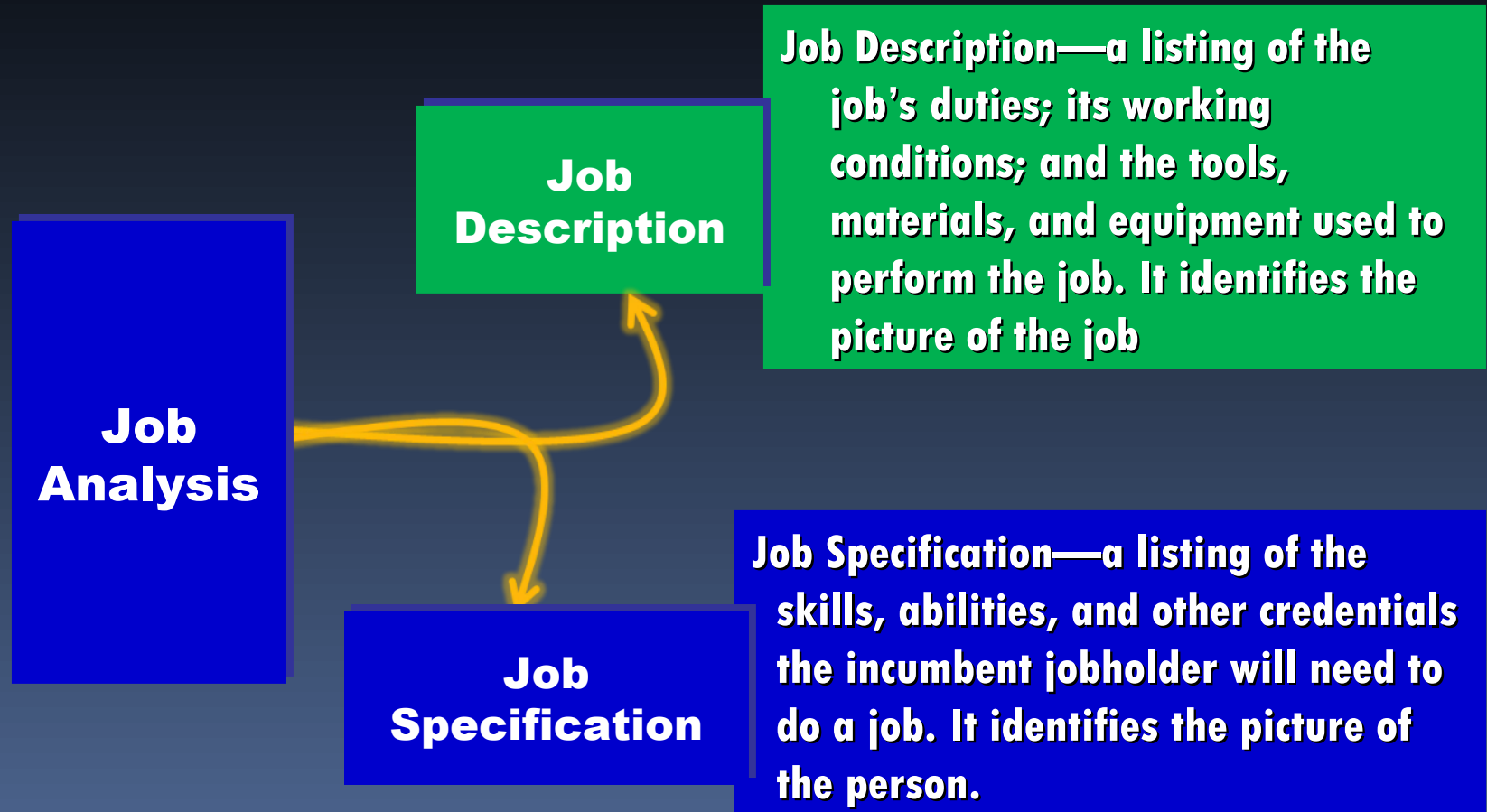
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- **What a worker does-workers function**
- **How a worker does-methods and techniques used**
- **What aid is necessary-machines, tools, experts etc.**
- **What qualifications are necessary-knowledge, skills, abilities, experience**
- **The output of job analysis are job description & job specification**

Multifaceted Nature of Job Analysis



2. Components of Job Analysis





3. Steps in Job Analysis

- 1. Determine the purpose of the JA**
- 2. Gather Information about jobs to be analyzed**
- 3. Write the job Analysis**
- 4. Obtain Approval**

3.1 Determine the Purpose of JA

- **Job analysis serves several purpose of HRM**
- **How do you want to use the JA?**
 - **Legal requirement**
 - **Manpower Planning**
 - **Recruiting**
 - **Selection**
 - **Performance appraisal**
 - **Training**
 - **Compensation, etc**

3.2 Gather Information about Jobs

- **Decide which jobs to include in the job analysis project**
- **For similar jobs select representative jobs**
- **Different methods of gathering data include:**
 - 1. Interviews**
 - 2. Questionnaire**
 - 3. Observation**
 - 4. Diary/Logs**
 - 5. Critical Incident Technique (CIT)**

Cont'd

■ Interview Method

🌐 Individual

- Several workers are interviewed individually
- The answers are consolidated into a single job analysis

🌐 Group

- Employees are interviewed simultaneously
- Group conflict may cause this method to be ineffective
- The interview method requires that all employees are asked the same questions in the same order.

Cont'd

■ Questionnaires

- **Employees answer questions about the job's tasks and responsibilities**
- **Each question is answered using a scale that rates the importance of each task**
- **Not all jobs are the same, so questionnaires may overlook certain aspects of the job. Also, follow-up methods are not usually organized to gather extra information.**
- **Computerized versions of questionnaires can be very expensive.**

Cont'd

■ **Diary Method**

- **Incumbent Employees record information into diaries of their daily tasks**
 - **Record the time it takes to complete tasks**
- **Must be over a period of several weeks or months**
- **This method can be very expensive because of the time it takes to complete it.**

Cont'd

■ **Observation Method**

- **Analyst observes incumbent**
 - **Directly**
 - **Videotape**
- **Useful when job is fairly routine**
- **Workers may not perform to expectations**

Cont'd

■ Critical Incident Technique (CIT)

- Takes past incidents of good and bad behavior
- Organizes incidents into categories that match the job they are related to
- The CIT is helpful in illustrating to an employee what kind of behavior is required for the job.

3.3 Write the Job Analysis

- Many organizations write as job description combining both job description and specification.
- However it can also be presented in two parts as job description and specification.
- The following Items are **common** to both job description and specifications:



Cont'd

- 1. Job Identification (Title, Date, Approvals, Supervisor's title ,Salary, Grade level)**
- 2. Job Summary (General nature, Major functions or activities, Includes general statements)**
- 3. Relationships (works with who)**

Cont'd

Job Description

- 1. Job Identification (Title, Date, Approvals, Supervisor's title ,Salary, Grade level)**
- 2. Job Summary (General nature, Major functions or activities, Includes general statements)**
- 3. Relationships (works with who)**



Cont'd

4. Responsibilities and Duties (Limits of authority, what is done-such as sales, lifts, drives etc.)

5. Standards of Performance (Quality, quantity etc.

6. Working Conditions and Physical Environment

Cont'd

Job Specification

- 1. Job Identification (Title, Date, Approvals, Supervisor's title ,Salary, Grade level)**
- 2. Job Summary (General nature, Major functions or activities, Includes general statements)**
- 3. Relationships (works with who)**
- 4. Qualifications**
- 5. Experiences**
- 6. Behaviors**

4. Potential Problems of JA

● **Employees may resist JA because:**

- **Resistance to change**
- **Possible changes to job duties**
- **Changes to pay**
- **Lack of trust of consequences**



Who is involved in the job analysis?

- **Management**
- **Supervisors**
- **Job analysts**
- **Job incumbent**
- **Unions**
- **Consultants**

5. Job Design

- Job design is the process of **determining the specific tasks to be performed, and methods used in performing these tasks, and the way the job relates to other work in the organization.**
- There are two major components of job design: **job enlargement and job enrichment.**



Human Resource Planning (HRP)

September 23, 2026

1. HRP: Definition

- Human resource planning (HRP) is the process of analyzing and **identifying the need for and availability of human resources** so that the organization can meet its objectives.
- The organizational strategy of the firm as whole becomes the basis for human resource planning



2. HRP: Importance

- If you don't plan you will end up either with **famine** or **overwhelm!**



Cont'd

- **Helps to determine future human resource needs**
- **Coping with change**
- **Foundation for personnel functions**
- **Provides information on the status of the human resource**
- **Reduces cost and budget of human resource management**

3. HRP: Steps

Strategic Plan

**Total Human
Resource
Demand
Forecasting**

**Total Human
Resource Supply
Forecasting**

Policies

**Anticipated
Change**

Environment

Job Analysis

**Net Human
Resource
Requirement**

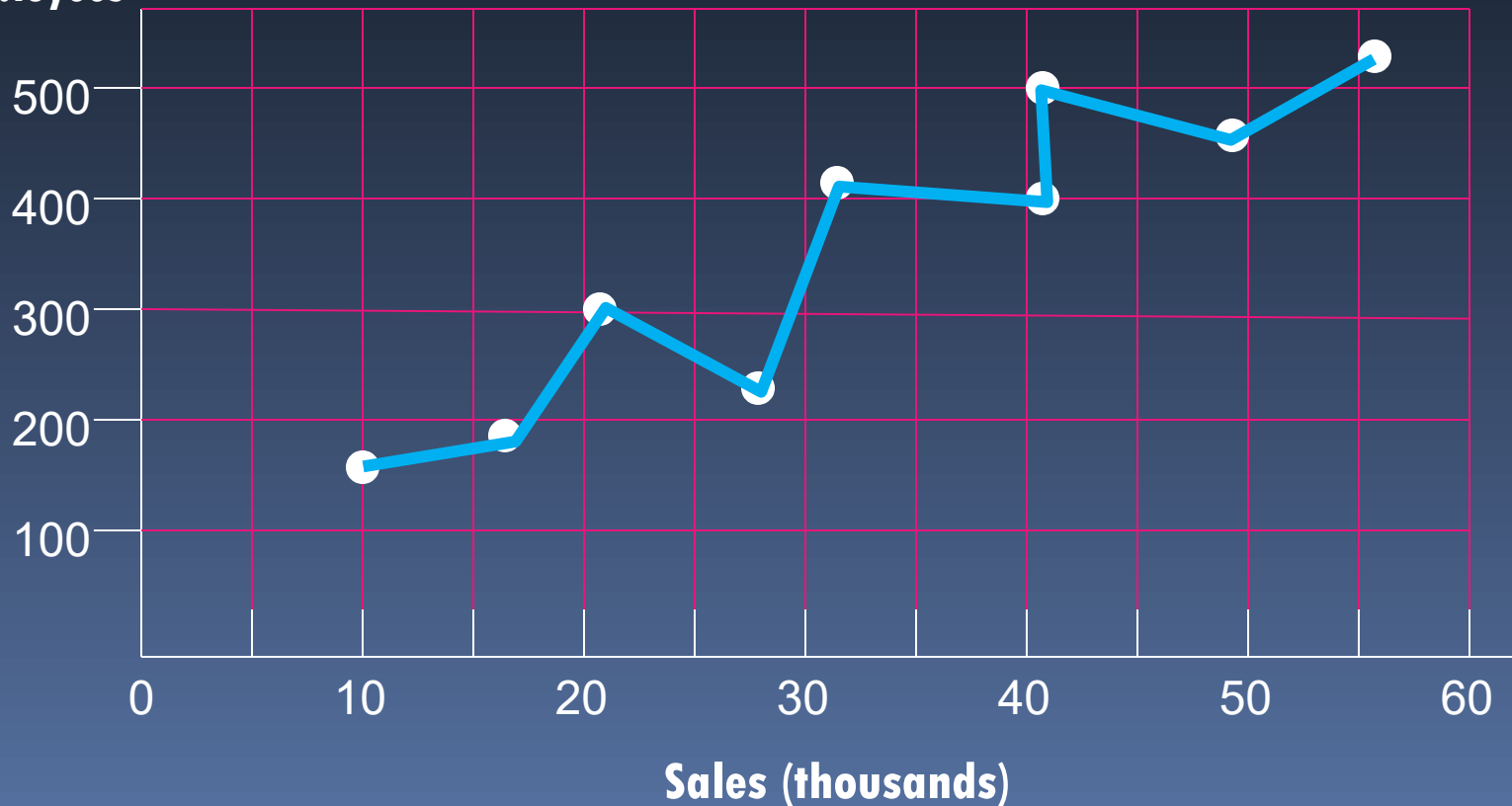
Action Plan

3.1. Total HR Demand Forecast

- **Determining the demand for total work force requirement through the analysis of organization's operations**
- **Use projections of operations, output person and productivity**
- **Estimate of numbers and kinds of employees the organization will need at future dates**
- **Demand for firm's goods or services must be forecasted. Forecast is then converted into people requirements**

Relationship b/n Sales Volume & Number of Employees

Number of
Employees



HR Demand Forecast

- **New organizations:**
 - Require the study of other similar organizations (benchmarking)
 - Utilizing a range of qualitative or quantitative forecasting methods.
 - Quantitative methods use a range of statistical and mathematical techniques such as regression, productivity ratio and Staff ratio



Cont'd

- **Qualitative methods use mainly judgmental methods, rule of thumb, feedback from people who provide analysis and predictions.**
- **Tools such as brainstorming, NGT & Delphi are used**

3.2. HR Supply Forecast

- **Forecasting Availability of Human Resources (SUPPLY)**
- **External Supply Forecast**
- **Potential employees available to the organization needs include:**



Cont'd

- **Individuals entering and leaving the workforce**
- **Individuals graduating from schools and colleges**
- **Changing workforce composition and patterns**
- **Economic forecasts for the next few years**
- **Technological developments and shifts**
- **Actions of competing employers**
- **Government regulations and pressures**
- **Factors affecting persons entering and leaving the workforce.**

Cont'd

● Internal Supply Forecast

- Internal supply refers to the manpower inventory available within the organization. **Internal supply information which include:**
 - Skill Audit-employees on non-managerial jobs
 - Management Audit-employees in managerial jobs
 - Human Recourse Information System (HRIS)

Cont'd

■ **Human Resource Information Systems (HRIS):**

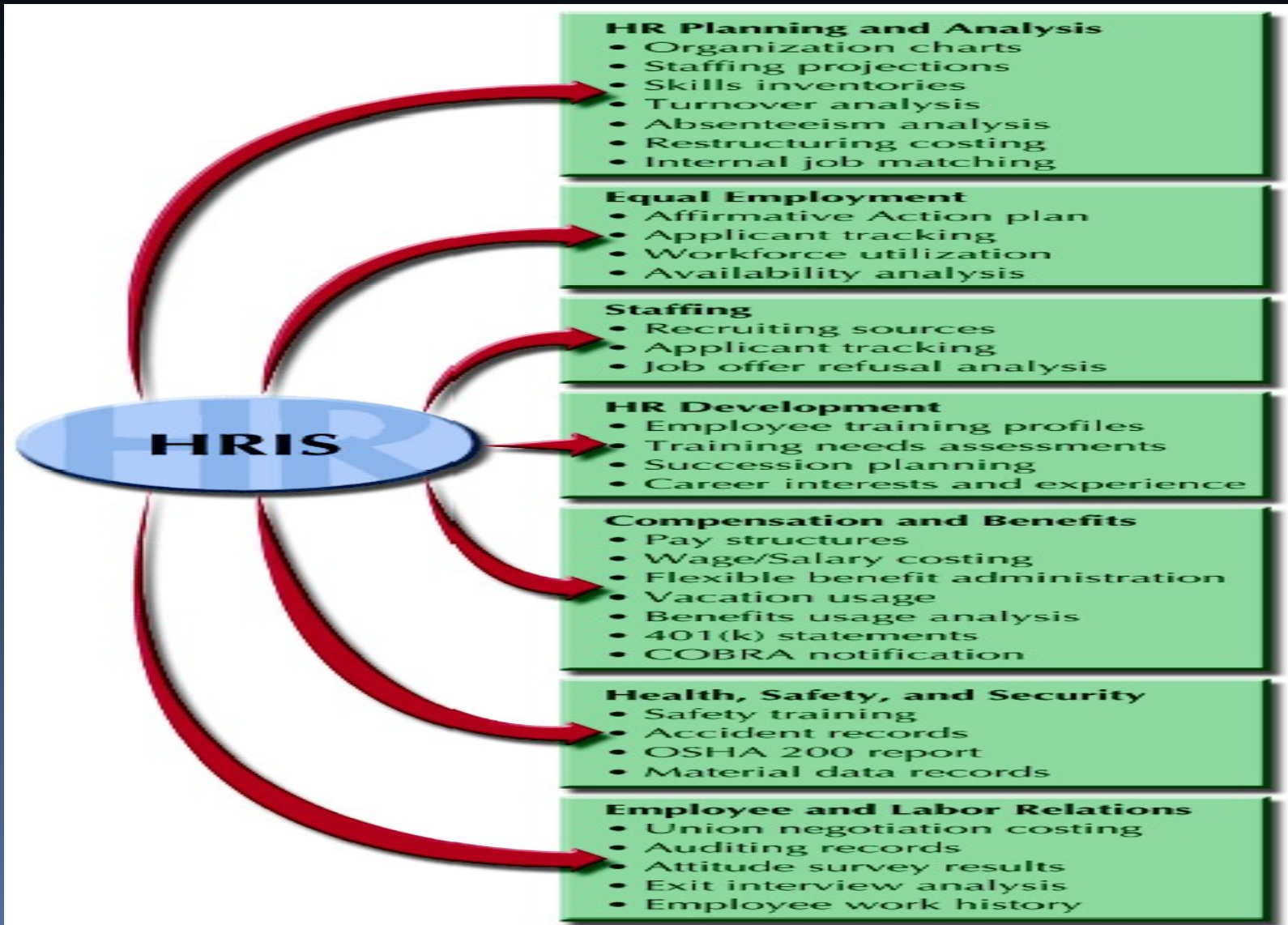
- **An integrated system of hardware, software, and databases designed to provide information used in HR decision making.**
- **Benefits of HRIS:**
 - **Administrative and operational efficiency in compiling HR data**
 - **Availability of data for effective HR strategic planning**

Cont'd

- **Uses of HRIS:**
 - **Providing information about human resource in organizations (employment, skill, tracking affirmative actions etc.)**
 - **Automation of payroll and benefit activities**

Cont'd

Uses of HR Information System (HRIS)



Cont'd

■ HRIS Design Issues:

- **What information available and what is information needed?**
- **To what uses will the information be put?**
- **What output format compatibility with other systems is required?**
- **Who will be allowed to access to the information?**
- **When and how often will the information be needed?**

3.3. Net HR Requirement

- The net human resource requirement is the difference between the total human resource demand and the human resource supply forecast taking into account the **anticipated change**.
- Anticipated change include **turnover analysis**



Cont'd

- **Turnover analysis is the analysis of the employees leaving the organizations for several reasons including retirement, disabilities, resignation, quit, disabilities and deaths.**

Cont'd

- **After estimating human resource demand and supply for a future period the net requirement situation can be one of:**
 - **Shortages**
 - **Surplus**
 - **Balanced**
- **Each situation requires a different set of responses.**

Surplus of human resource

- **Supply exceeds the labor demand.**
- **The reasons for surplus human resource can be:**
 - **Company contraction,**
 - **Over employment**
 - **Poor human resource planning (Over-employment).**

3.4. Action Plan

- **Action Plan involves managing the net manpower requirement- the surpluses or shortages**
- **Action plan for surplus include:**
 - **Freeze hiring**
 - **Reducing the number of hours worked**
 - **Do not replace those who left**



Cont'd

- **Reduce overtime work**
- **Offer early retirement incentives**
- **Reduce outsourced work**
- **Expand operations**
- **Lay offs**

Shortage of human resource

- **In this scenario, the firm will need more workers than will be available.**
- **The reasons for shortages can be:**
 - **Expansion of the company and its jobs**
 - **Poor human resource planning (Underemployment)**
 - **Turnover**

Cont'd

- **Action Plan for shortages include:**
 - **Training or retraining existing workers,**
 - **Grooming current employees to take over vacant positions (succession planning), promoting, transferring from within,**
 - **Recruiting and hiring new permanent employees,**
 - **Subcontracting part of the work to other firms,**



Cont'd

- **Hiring part-timers or temporary workers,**
- **Paying overtime to existing employees**
- **Offer incentives to postpone retirement**
- **Rehire retirees part-time**
- **Redesign job processes so fewer employees are needed**
- **Reduce operation**



Chapter 4

Employee Recruitment, Selection, Placement & Induction/Orientation



Chapter Outline

- **After completing this part, participants will be able to understand:**

- 1. Recruitment**

- 2. Selection**

- 3. Placement & Induction**

1. Recruitment

1.1. Definition

- **Recruitment is the process of reaching out and attempting to attract potential and qualified job candidates for a particular job**
- **To avoid costs, the recruiting effort should be targeted solely at applicants who have the basic qualifications for the job.**

Cont'd

1.3 Sources of Recruitment

- Sources of recruitment are the places, agencies and institutions, recruiters go to seek potential and qualified candidates that will fill the vacant jobs.
- There are two practical sources from which recruiters seek potential candidates to fill job needs-**internal source and external source.**

Cont'd

□ **Internal Source**

- **Internal source recruitment is recruiting from within the organization (in-house)**
- **Many organizations have internal recruitment policy. Unions require internal source**
- **Internal recruitment is usually done through promotion and transfer. The way in which internal applicants are located is often through job posting and job bidding**



Cont'd

- **Transfer:** Is moving people to positions that are similar and equal in status usually horizontal
- **Promotion:** Moving people to higher level position with higher status usually vertical

Cont'd

□ **External Sources**

- **External source is recruiting from outside the organization.**
 - **Locating applicants from outside the organization has many more options**
 - **The entire labor market is a potential source.**



Cont'd

External Sources and Methods of Recruitment

Sources

- Employee referral programs
- Walk-ins
- Other companies
- Employment agencies
- Temporary help agencies
- Trade associations and Unions
- Schools
- Foreign nationals

Cont'd

Methods

- **Radio and Television**
- **Newspapers and Journals**
- **Computerized services**
- **Acquisitions and Mergers**
- **Work flow management**
- **Online recruitment**



Cont'd

- **Other Methods:** There are a few other ways of finding the right employees. These include people you meet at **conferences, seminars** and **trade shows**.
- You can attract them by either setting up your own **recruitment booth** or through **informal meetings**.



Cont'd

- **How Many to Recruit?**
- **Organizations recruit more than what they employ because some of the recruits may be unqualified, disinterested or both.**
- **Yield ratio** will help to determine how many to recruit.

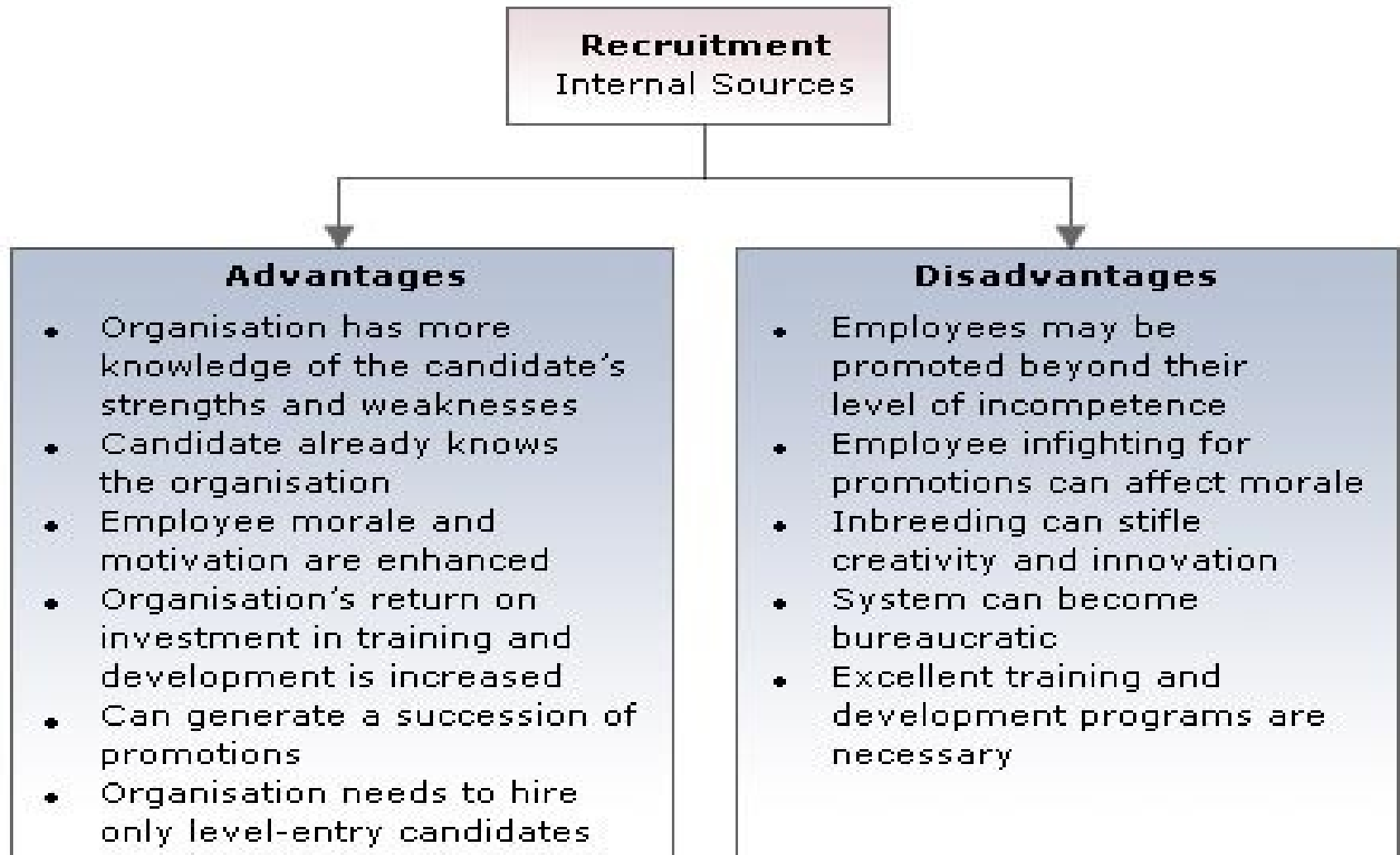
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- Recruiting Yield Pyramid**



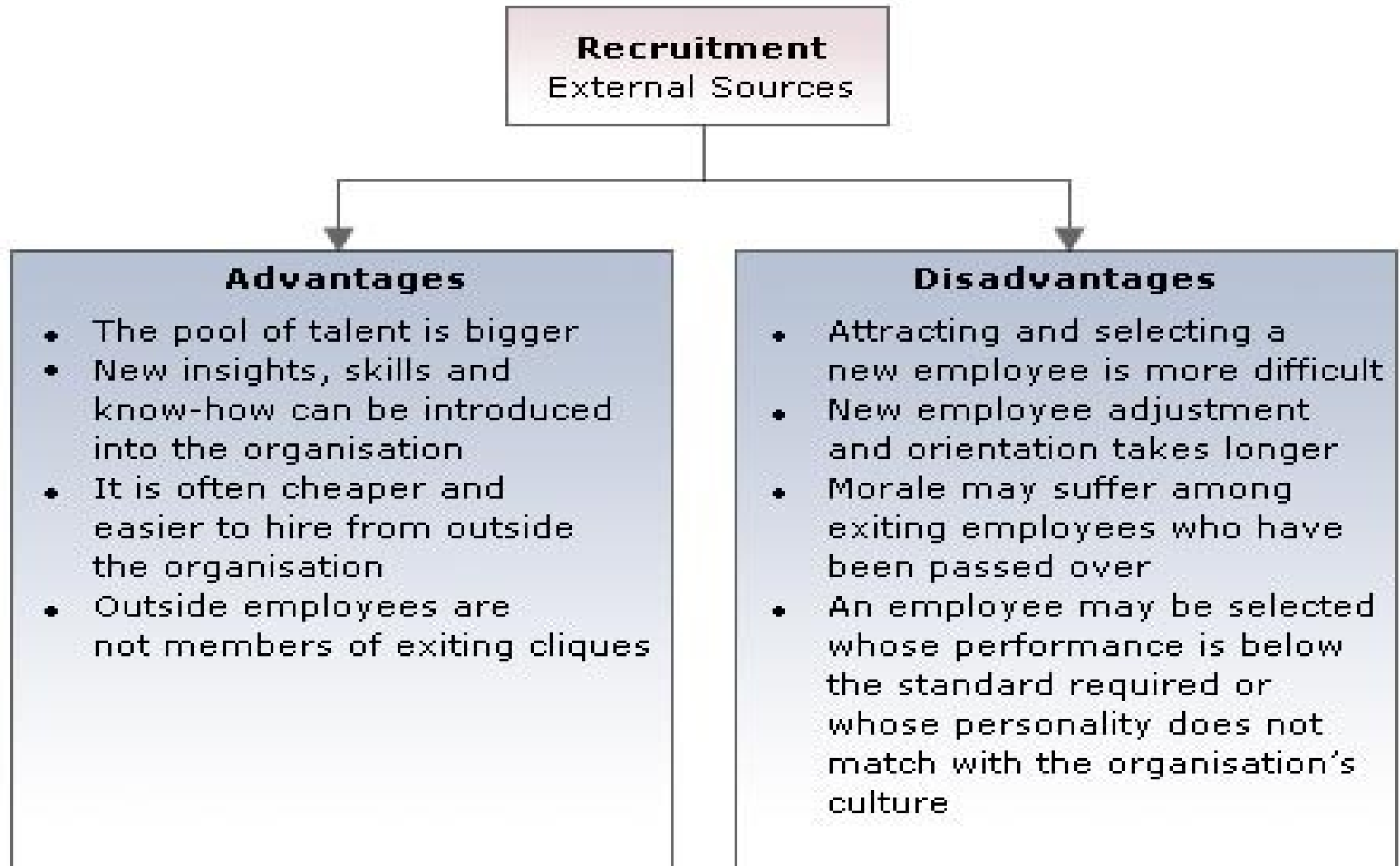
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Internal Source Advantages and Disadvantages



Cont'd

External Source Advantages and Disadvantages



Cont'd

1.4 Steps in Recruitment

1. Job requisition:

- The first essential step is job requisition, which gives the recruiting agency information regarding each job.
- Job requisition determines the job scope, function, responsibilities, and relationships.
- This is done through **job description** and **job specification** both of which are developed as a result of job analysis.



Cont'd

2. Designing application form:

- **Application form must be designed as per job description and specification, which will enable managers to procure required information from the applicant.**
- **Application forms need to be incisive and complete in giving the required information.**



Cont'd

3. Advertisement:

- **The recruiting agency notifies vacancies through well-articulated advertisement.**
- **It could do this through different media such as organizational website, TV, newspapers, trade or professional journals, notice boards in field offices, and employment job centers.**



Cont'd

- **The choice depends on the positions for which organizations are recruiting.**
- **For example, the local newspaper is usually the best for blue-collar, clerical and administrative employees.**
- **For specialized employees such as middle and senior managers, website and/or professional journals can be good media.**

Cont'd

Conduct Realistic Approach to Recruitment

- **A realistic approach to recruitment deals with providing an accurate information about the job and the organization to job candidates**
- **Do not inflate the expectation of the candidate beyond what the actual that your organization can offer**



Cont'd

- **When the candidate discovers the actual is less than the expectations that you have created during the recruitment, the candidate may leave your organization, which results in a great loss to the company in terms of effort and cost.**



Cont'd

Evaluate the Recruitment

- **Evaluation of the success of recruitment is based whether the candidates attracted are fit for selection.**
- **If the selection process is fed with sufficient qualified candidates then one can say that the recruitment was successful**

2. Selection

- Selection is the process of deciding which candidate, out of the pool of applicants developed in recruitment, has the abilities, skills, and characteristics most closely matching job demands.
- Series of steps are used for selection decision.
- The selection philosophy is either to **screen out** the unqualified candidate at each step or to **screen in** the qualified ones.



Cont'd

2.1 Why Select the Right Person?

- **Customers will receive the right quality service within the right time and get satisfied and delighted.**
- **Fellow workers will receive a cooperative and compatible service and satisfied and delighted to work with**
- **Fellow workers will be happy to work and stay at their organization**



Cont'd

- **Superiors (supervisors) will be satisfied and delighted to work with**
- **There will be cooperation and harmony among workers which will result in positive synergy**
- **The organization will have a good image**
- **The organization will achieve its goals and mission efficiently and effectively**
- **The company will grow, develop and become prosperous**



Cont'd

2.2. Consequences of Poor Selection Decision

- **Increased induction, training, development and performance management costs**
- **Dissatisfaction of customers because of poor service**
- **Frustrations for, or loss of, other key staff that have to work with the new employee**

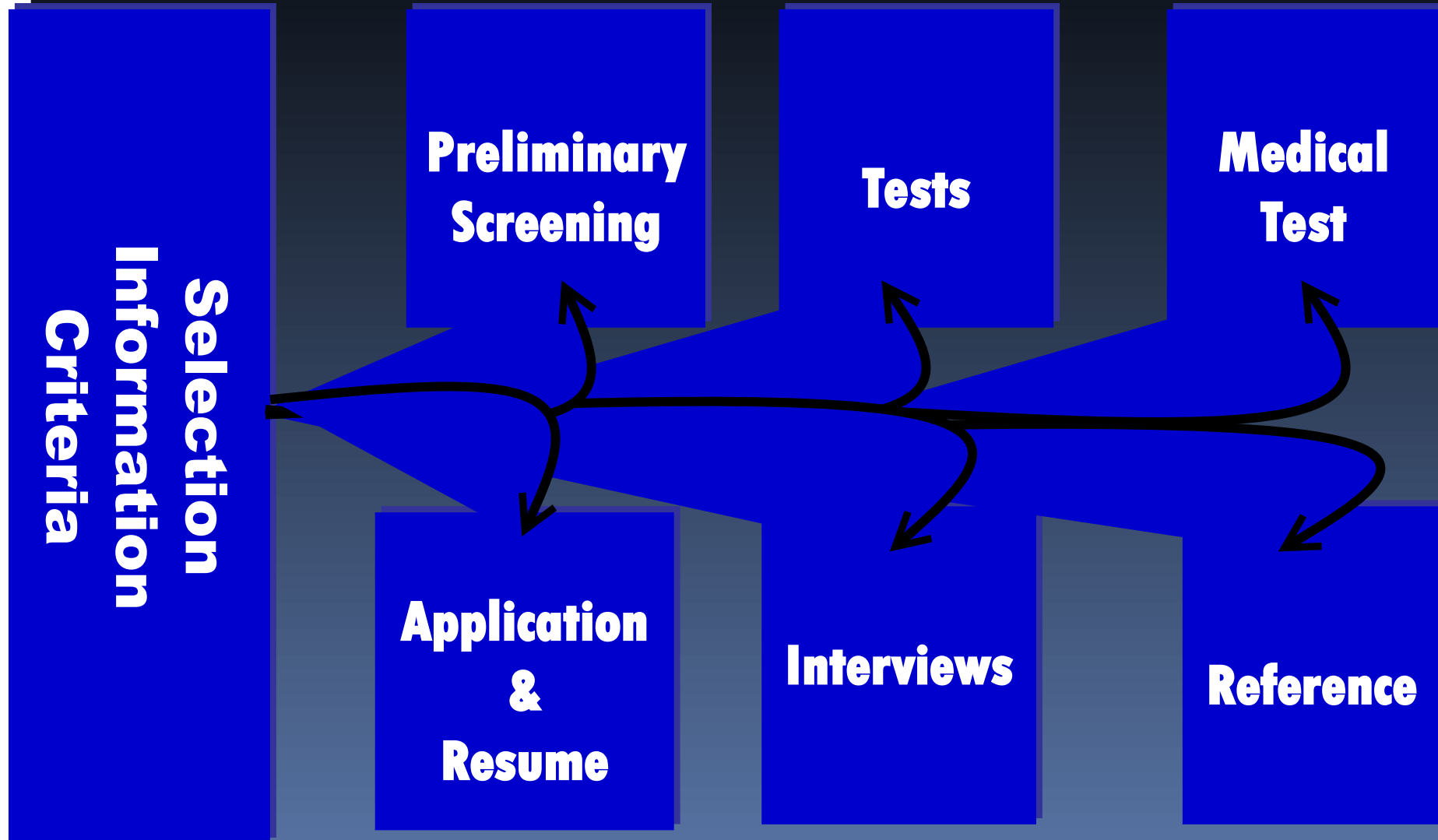


Cont'd

- **Harm the new incumbent (dislocation, lay off, dismissal etc.,)**
- **Impaired image and reputation for the company**

Cont'd

2.3. The Selection Process



Cont'd

Selection involves the following Steps:

1. Scrutiny of Applications:

- This is a process of taking out less desirable candidates.
- If the number of applicants is large, some criteria may be designed to shortlist and keep the number of candidates to a manageable size

Cont'd

- The company usually designs an application form called **Application Blank** that will be filled by the applicant.
 - Applicants submit application (Application blank)
 - Applicants also submit **resume/curriculum vitae** or bio data, an information document designed and written by the applicant

Cont'd

- **The information obtained from the application and resume is generally used as a basis for further exploration of the applicant's background.**
- **Applicants can supply elaborated and attractive resumes.**
- **It is useful to ask applicants to sign that the statement that they have made is correct and that he or she accepts the employer's right to terminate the candidate's employment if any of the information is subsequently found to be false.**



Cont'd

2. Testing:

- **Some examples of employment testing are aptitude test, performance test, and personality test.**
- **Aptitude test attempts to measure a person's ability to learn concepts and to master physical skills.**



Cont'd

- **The following tests are usually applied in the selection process:**
 - **Personality Test**
 - **Achievement Test**
 - **Aptitude Test**
 - **Intelligence Test**
 - **Dexterity Test: Disposition (tendency)**



Cont'd

- **Different jobs require different traits, temperament and emotion.**
- **For example, for supervisory job, emotional stability is important.**



Cont'd

3. Interview:

- It provides opportunity managers to verify information on hand and to find out more about the applicant's interests, aspirations, and expectations.
- In addition, it will provide opportunity to share information about the company, the job and its environmental condition.
- Hence, the aim is to have a two-way communication that is mutually beneficial.
- Interview could be **structured** or **unstructured**.



Cont'd



Structured interview:

- Interview questions are predetermined before the interview takes place.
- It applies a series of job-related questions with predetermined answers consistently across all interviews for a particular job.

Cont'd

➡ **Structured interview advantages:**

- **The content of a structured interview is, by design, limited to job-related factors.**
- **The questions asked are consistent across all interviewees.**
- **All responses are scored the same way.**

Cont'd

Unstructured interview

- **Interview questions are not predetermined before the interview takes place.**
 - **Questions are raised during the interview session.**

Cont'd

➡ **The unstructured (non-directive) interview**

Advantages:

- **Allows the applicant the maximum amount of freedom in determining the course of the discussion.**
- **The interviewers ask broad and open questions.**
- **Permits applicants to talk freely with minimum of interruption.**
- **Helps to reduce the possibility of legal charges of unfair discrimination.**

Cont'd

Guidelines for Employment Interviews:

- **Establish an interview plan**
- **Establish and maintain support**
- **Be an active listener**
- **Pay attention to non-verbal clues**
- **Provide information honestly**
- **Use questions effectively**
- **Separate facts from inferences**
- **Recognize biases**
- **Control interview**
- **Standardize the questions**



Cont'd

4. Reference checking (background investigations)

- Reference checking provides the opportunity to question individuals, who either have worked with the applicant or know them in some other capacity, about their suitability for the role and to match them against the selection criteria.
- By contacting the applicant's current or previous managers or co-workers, you are making sure the applicant has the skills and experience listed on their application and resume.



Cont'd

- **Reference checks are important since research shows that about one-third of all applicants are creative with or lie about their employment history.**
- **You want to make sure the person will not be a liability to you and your clients if they claim to have technical expertise that they do not in fact possess.**

Cont'd

5. Physical examination

- **Prior to tendering a job offer, some organizations require potential employees to take a physical examination for the purpose of:**
 - **Preventing insurance claim for illness or injuries that occurred prior to employment to the company.**
 - **Detecting any communicable diseases.**
 - **Certifying that the person can physically perform the work.**



Cont'd

- **However, physical requirements should be clearly indicated in the job description and specification, which otherwise the company may be accused of discrimination toward handicapped workers.**



Cont'd

6. Communication

- **It is a process of informing the result to an applicant(s) who has/have been selected and offered a job by the management.**



Cont'd

2.4. Validity and Reliability of Selection Instruments

- **Selection instruments such as tests and interviews must be valid and reliable.**
- **Tests and interviews need to predict success on a job if those tests are used to make the decisions to hire.**

Cont'd

Validity:

- Tests and interviews are supposed to discover and predict the ability to do the job required.
- If a potential candidate is interviewed or tested and scores 'A' he must also score 'A' in his job performance.
- **Concurrent** method and **predictive method** can be used to evaluate the validity.



Cont'd

- ***Concurrent validation:*** administer the tests to employees *presently* on the job. You then would compare their test scores with their *current* performance.
- ***Predictive validation:*** the test is administered to applicants before they are hired. After they have been on the job for some time, you measure their performance and compare it to their earlier tests.

Cont'd

Reliability:

- The test should yield consistent scores when a person takes the same test on two or more different occasions. **Test re-test** method and **equivalent-half** helps to test the reliability
- **Test-retest Method:** If for example a person scores 70% on a test administered on Monday and 90% on Tuesday, people would not have much faith in the test.

3. Placement, Induction/Orientation



Placement:

- Placement is the process of assigning a selected applicant to the job for which he/she applied for.



Induction/Orientation:

- It is the process of introducing the new employee to the organization, to his job, to colleagues and superiors to bring him/her into the mainstream of the organization as quickly as possible.



Cont'd

- **A large number of new starters resign in the first few weeks of their employment because of lack of appropriate induction.**

Cont'd

- **The typical components of a standard induction program which can run for hours, days or even weeks is as follows:**
 - **The organization, its history, development, management and activity.**
 - **Personnel policies.**
 - **Employee benefits.**
 - **Physical facilities in the work place.**
 - **An outline of the different jobs and work entailed in the organization.**



Cont'd

- **Health and safety measures.**
 - **Social interaction with other employees.**
 - **Physical orientation to the work place**
-
- **Indeed, secondary, tertiary or follow-up induction programs are used by many organizations to ensure all the information they wish to impart is properly disclosed to employees over a period of time.**



Chapter Five

Training & Development

(T&D)

September 23, 2026



Discussion Session

**Discuss the difference and
Similarity between
Training & Development**

Chapter Outline

- After completing this part, participants will be able to understand:

1. T&D Definition
2. T&D Purpose
3. The Training Process
4. Training & development differences
5. Career development

1. Training & Development Definitions

Training:

- It focuses on providing employees with specific skills which help correct deficiencies in their performance.
- Training focus is on the current job, on how to do the job for which they were hired.
- The scope is the **individual-operational employees.**

Cont'd

Development:

- Development is an effort to provide employees with the abilities the organization will need in the future.
- The focus is the **organization-managerial employees**



2. The Purpose of Training and Development

- **Creating a pool of readily available and adequate replacements for personnel who may leave or move up in the organization**
- **Enhancing the company's ability to adopt and use advances in technology because of a sufficiently knowledgeable staff.**
- **Building a more efficient, effective and highly motivated team, which enhances the company's competitive position and improves employee morale.**



Cont'd

- **Ensuring adequate human resources for expansion into new programs**
- **Specific benefits from training and developing its workers, include:**
 - **Increased productivity**
 - **Reduced employee turnover**
 - **Increased efficiency resulting in financial gains**
 - **Decreased need for supervision**



3. The Training Process

- 1. Training needs assessment & training objectives**
- 2. Developing training Program**
- 3. Selecting trainees and trainers**
- 4. Selecting the training Method**
- 5. Conducting the training**
- 6. Training evaluation**

Cont'd

3.1 Training Need Assessment

- The need for training and development is determined by employee's performance deficiency, computed as follows:
 - ***Training and development need = Standard performance – Actual performance.***
- Managers can identify training needs by considering three sources:

Cont'd

- **Organization wide sources**
 - **Grievances, observation, Exit Interviews, Waste/Scrap,**
 - **Accidents, complaints, Training observation, Equipment use**
- **Task Analysis Sources**
 - **Job Requirements = Employee KSAs**
 - **Job Description Requirements = Job Specifications**

Cont'd

- **Individual Employee Sources**
- **Tests, Records, Assessment Centers, Questionnaires, Performance Appraisals, attitude surveys, role playing results.**



Cont'd

3.2. Developing Training Objectives & Program

- **Training objectives and priorities are set to close the gap.**
- **Objectives for training can be set in any area by using one the following four dimensions:**



Cont'd

- ***Quantity of work*** resulting from training.
- ***Quality of work*** after training (eg. cost of rework, scrap loss).
- ***Timeliness*** of work after training (schedule meeting).
- ***Cost savings*** as a result of training.

Cont'd

3.3. Selection of Trainees and Trainers

- **Employees who must be trained are those whose deficiency has been discovered through the personal training identification in the training need identification.**
- **It is also important that employees be motivated by the training experience.**
- **Trainers need to have the ability to train the skills that are designed in the program.**

Cont'd

3.4 Determine the Types of Training

- **On the Job Training (OJT):** on the- job training approach, the trainee learns in the actual work setting, usually under the guidance of an experienced worker, supervisor, or trainer.

Advantages:

- Learning takes place through doing the actual job
- Little problem of transferee of knowledge learnt elsewhere
- Reduces cost of hiring outside trainers

Cont'd

Disadvantages:

- **Errors and damage to equipment that occur when a trainee is on the job may prove costly.**
- **Trainees might be excellent in terms of their skills but inadequate at transferring their knowledge to others.**

Cont'd

Off-the-job training:

- Training is conducted outside the job environment
- Common examples of off-the-job training are formal courses, simulations, and role-playing exercises in a classroom setting.

Advantages:

- It gives employees extended and uninterrupted periods of study.

Cont'd

- A classroom setting may be more conducive to learning retention because it avoids the distractions and interruptions that commonly occurring an OJT environment.

Disadvantages:

- What is learned may not transfer back to the job.
(Vestibule training is used to minimize the problem of transfer)
- If an employees view off-the-job training as an opportunity to enjoy some time away from work, not much learning is likely to take place.

Cont'd

3.5 Conducting Training

- Having planned the training program properly, the training should be administered to the selected employees.
- It is important to follow through to make sure the goals are being met.
- Questions to consider include:
 - Location
 - Facilities
 - Accessibility
 - Comfort
 - Equipment
 - Timing

Cont'd

3.6. The Evaluation Phase

- In the evaluation phase of the training process, the effectiveness of the training program is assessed.
- The training should be judged on how well it addressed the needs it was designed to address.



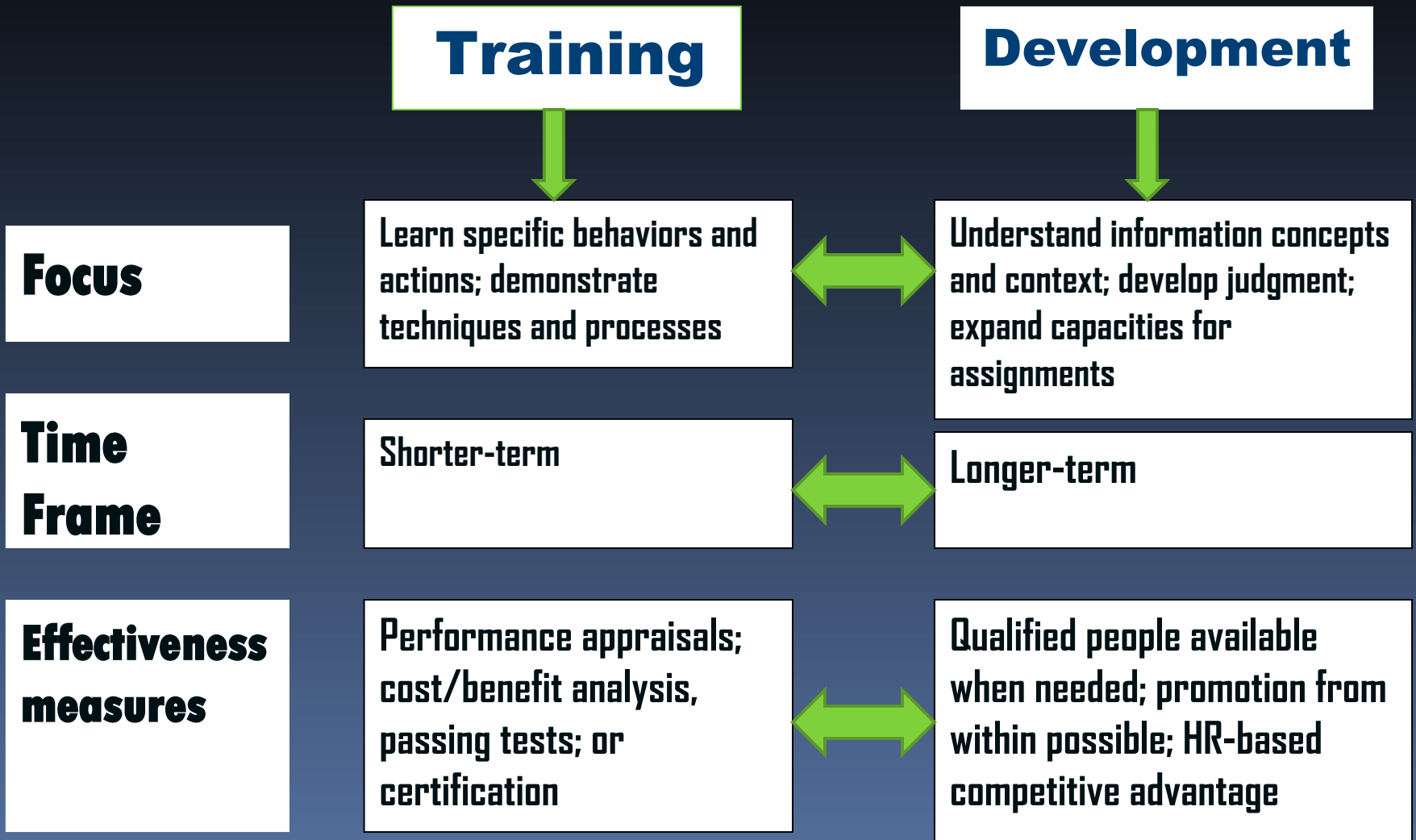
Cont'd

- **Evaluation of the training includes:**
 - **Participants' reaction to the training at the time of the training**
 - **Participants' learning of the content of the training**
 - **Participants' use of their new skills and knowledge back on the job.**

4. Training & development Differences

- **Development can be thought of as growing capabilities that go beyond those required by the current job; it represents efforts to improve employee's ability to handle a variety of assignments.**
- **Development is beneficial to both the organization and the individuals**

Cont'd



Cont'd

Assessment Centers:

- **Development** program uses assessment centers.
- In a typical assessment-center, a potential manager spends two or three days away from the job, performing many activities.

Cont'd

- **These activities may include role playing, pencil-and-paper tests, cases, leaderless group discussion, management games, peer evaluation, and in-basket exercises, in which the trainee handles typical problems coming across a manager's desks.**
- **For the most part, the exercises are samples of managerial situations that require the use of managerial skills and behaviors.**



Cont'd

- **During the exercises, participants are observed by several specially trained judges.**
- **Assessment centers are seen as an excellent means for determining managerial talent.**

5. Career Development

Discussion Session

- **Discuss the difference between *job* and *career*.**

Cont'd (Career Dev't)

- **Career planning involves assisting employees in defining their occupational interests, and preparing for job changes through human resource development.**
- **The career changes may entail a move to a different occupation, a promotion within an existing occupation, or changing the tasks in an existing occupation.**

Cont'd (Career Dev't)

- **It can be used to describe the phase of career planning in which employees are engaged in various human resource development methods, such as taking college courses to qualify them for career advancement, or other career change.**

The Purpose of Career Planning

● The principal purposes of career planning are:

- **Employee job satisfaction:** to influence employee intrinsic and extrinsic job satisfaction in a positive manner.
- **Meet organizational needs for human resources:** to help the organization prepare for and meet its future human resource needs.



Chapter Six

Performance Appraisal (PA)



Chapter Outline

- After completing this part, participants will be able to understand:
 1. Performance Appraisal definition
 2. Purpose of Performance Appraisal
 3. Performance Appraisal Steps
 4. Problems with Performance Appraisal
 5. Performance Appraisal Methods
 6. Who should undertake PA

1. Performance Appraisal Definition

- Performance Appraisal is a process of determining **how well an employee is doing his/her job.**
- It is the evaluation of employees' current and potential levels of performance to allow managers to make **objective human resources decisions.**

Cont'd

- **Performance appraisal has the following main objectives:**
 - **To improve employee performance in the present job**
 - **To prepare employees for future opportunities that may arise in the organization**
 - **To provide a record of employee performance that can be used as a basis for future management decisions**
- **Performance appraisal is a continuous process.**
- **It is one of the most difficult and important part of supervision.**

2. Purposes of Performance Appraisal

- **Feedback to employees:** It provides feedback to employees about the quality and quantity of job performance.
- **Self-development:** Individuals learn about their **strengths and weaknesses** as seen by other people and can influence self-improvement programs.



Cont'd

- **Reward systems:** It can be used to administer merit based compensation systems.
- **Personnel decisions:** Decisions such as promotions, transfers and terminations are made based on performance appraisal.
- **Training and development:** It can help managers identify areas in which employees lack critical skills.

3. Performance Appraisal Steps

Three Step Process:

- 1. Set expectations/Standards**
- 2. On-going tracking and feedback**
- 3. Review progress (annual appraisal)**



Cont'd

3.1. Set Expectations/Standards

- Clear performance goals that the employee is expected to perform during the period must be set and agreement must be reached.
- What the position holder will do and how they will do it.

Cont'd

- Should be **SMART**
 - **Specific**
 - **Measurable**
 - **Achievable**
 - **Realistic**
 - **Timely (contain a measurement of time)**
- Should be aligned with the goals and objectives of the organization (strategy), department or work unit.



Cont'd

3.2. Ongoing Tracking and Feedback

- **Managers/Supervisor should meet with employees on continuous base:**
 - **To discuss progress towards established goals**
 - **Identify areas for improvement/development**
 - **Discuss modifications to goals**
 - **Coach on how to sustain progress or improve shared process**

Cont'd

- **Employee has responsibility for tracking and monitoring own progress.**
- **Supervisor should identify sources of information. Possibilities include: e-mails, financial reports, customers feedback, participation on internal and external committees, participation in professional organizations.**

Cont'd

3.3. Providing Feedback

- **Feedback is best given in a private meeting between the employee and immediate supervisor.**



Discussion should focus on the facts:

- **Assessed level of performance, how and why the assessment was made, and how the employee's performance can be improved in the future.**



Cont'd

- **Maintain or enhance self-esteem**
- **Listen and respond with empathy**
- **Ask for help and encourage involvement**
- **Share thoughts, feelings and rationale (to build trust)**
- **Provide support without removing responsibility (to build ownership)**

4. Problems with Performance Appraisal

- Appraisers commit errors during appraisal.

Errors include:

- **Leniency:** A tendency to rate an employee at the positive (high) end.
- **Central tendency:** Rating employees in the middle of the scale.
- **Halo Effect:** Rating an employee only on one attribute

Cont'd

- **Personal Biases (prejudices):** rate on behaviors that conform to their biases (appearance, social status, dress, race, sex etc.)
- **Expectancy (Pygmalion Effect)**
- **First impression**



5. Appraisal Methods

1. Ranking methods

2. Graphic rating scale

3. Behaviorally anchored Rating Scale

4. Management By Objectives (MBO)



Cont'd

5.1. Ranking Methods

- **Ranks one employee by comparing the employee against every other employees.**
 - **Simple ranking technique**
 - **Paired comparison technique**



Cont'd

- **Ranking method: Drawbacks**
 - **Difficult to do with large numbers of employees.**
 - **Difficult to make comparisons across work groups.**
 - **Employees are ranked only on overall performance.**
 - **Do not provide useful information for employee feedback.**



Cont'd

5.2. Graphic rating scale

- **Graphic rating Scale compares each employee with a fixed standard.**
- **Graphic rating scales consist of job performance dimensions to be rated on a standard scale.**

Cont'd

Dimension: Punctuality

This teller is always on time for work and promptly opens her or his window scheduled.



Dimension: Congeniality

This teller always greets his or her customers warmly and treats them with respect and dignity.



Dimension: Accuracy

This teller is always accurate in her or his work.



Cont'd

5.3. Behaviorally anchored Rating Scale

- Behaviorally-anchored rating scale (BARS) is a sophisticated method in which supervisors construct a rating scale where each point on the scale is associated with behavioral anchors.

Job: Specialty store manager

Dimension: Inventory control

- 7 Always orders in the right quantities and at the right time**
- 6 Almost always orders at the right time but occasionally orders too much or too little of a particular item**
- 5 Usually orders at the right time and almost always in the right quantities**
- 4 Often orders in the right quantities and at the right time**
- 3 Occasionally orders at the right time but usually not in the right quantities**
- 2 Occasionally orders in the right quantities but usually not at the right time**
- 1 Never orders in the right quantities or at the right time**

Cont'd

5.4. Management by Objectives (MBO)

- A process whereby the superior and subordinate managers of an organization jointly identify its common goals, define each individual's major areas of responsibility in terms of the results expected of him, and use these measures as guides for operating the unit and assessing the contribution of each of its members.

Cont'd

The process of MBO

- **Joint goal setting**
- **Periodic evaluation and Review**
- **Giving feedback**

Cont'd

MBO Benefits:

- **Subordinates participate in setting their own objectives**
- **Accomplishment of objectives will motivate subordinates**
- **By working closer with the subordinates the supervisor will:**



Cont'd

- ✓ **Set realistic objectives**
- ✓ **Know the strengths and weaknesses of subordinates**
- ✓ **Know subordinates requirement such as resources: human, material, finance, information etc.**
- ✓ **Make objective appraisal.**

Cont'd

MBO Drawbacks:

- **MBO program takes a great deal of time, energy and form- completing on the part of managers.**
- **Difficult to use for setting non-quantifiable objectives**
- **Superiors push for higher objectives**
- **Subordinates may set lenient objectives that can be met easily or unachievable higher goals just to please the superior**

6. Who should Undertake Performance Appraisal?

- **Immediate superior**
- **Subordinate**
- **Peers**
- **Customers**
- **Self appraisal**
- **360° appraisal**

Cont'd

“360 degree” Feedback

- **“360 degree” feedback, in which employees are evaluated by everyone around them, provides a richer array of performance information on which to base an appraisal.**



Chapter Seven

Employee Compensation

September 23, 2026

1. Definition

- Employee compensation includes all forms of pay or rewards going to employees as a result of their employment.
- Employee compensation has two components: **direct financial payments** (wages, salaries, incentives, commissions, and bonuses) and **indirect financial payments (fringe benefits)** like employee paid insurance and vacations.

Cont'd

- Employees need to be rewarded for the service they provide to an organization.
- The organization, on the other hand, has the obligation to reward employees fairly according to the contribution they provide to it.
- Organizational reward includes, both **intrinsic** and **extrinsic**, that are received as a result of employment by the organization.

2. Importance of Compensation

- **The compensation policy of an organization should equitably serve both employer and employees.**

Importance to Employees:

- **It is the primary (and often the only) source of income for employees and their family.**
- **It is a fair reward**
- **It determines employees' social status.**

Cont'd

Importance to Employers:

- **To attract capable employees to the organization**
- **To motivate them towards superior performance level**
- **To retain their services for an extended period of time**



3. Factors Affecting Compensation

- **Government**
- **Cost of Living**
- **Comparable wage rates**
- **Market Conditions**
- **Ability to Pay**

Cont'd

● **Government:**

- **Government rules, regulations, executive orders, and laws have their influence on an organization's compensation policy.**
- **Every government provides laws for compensation in areas like, minimum wage rate, equal pay provisions to avoid pay differentials based on sex, race, religion, etc.**

Cont'd

Cost of Living

- Cost of living as measured in terms of **consumer price index** may affect the organization's compensation policy as it tries to adjust its employees' earning to the rate of inflation.
- This process is called **cost of living adjustment (COLA)**.

Cont'd

Comparable wage rates

- **The wage pattern in the industry and community could have an impact on the compensation policies and practices of organizations.**
- **Comparing wage and salary rates in given areas may help in ensuring that the organization is offering a salary that is not substantially higher or lower than those paid by others in the same area.**

Cont'd

Market Conditions

- Regardless of other factors involved, the **supply** and **demand** relationship in the labor market will determine the wage and salary level in organizations.

Cont'd

Ability to Pay

- **Regardless of other factors, wage and salary rates are ultimately dependent on the employer's ability to pay.**
- **Ability to pay, in turn, is dependent on how well the organization is functioning and its ability to continue earning revenues.**

4. Establishing Equitable Payment Structure

- **The primary objective of any base wage and salary system is to establish a structured system for the equitable payment of employees, depending on their job and their level of performance in their job.**

Cont'd

- There are several policy issues that need to be addressed for establishing a fair and equitable compensation system.
- Most based wage and salary systems establish pay ranges for certain jobs based on the relative worth of a job to the organization and wage & salary survey.

4.1. Job Evaluation

- **It is a systematic determination of the value of each job in relation to other jobs in the organization.**
- **If done properly the relative value of the jobs is reflected in the relative wage rate for the jobs.**



Cont'd

It Involves:

- Enumeration of the requirements of a job
- The job's contribution to the organization
- Classifying it according to importance



Cont'd

Steps in Job Evaluation

- I. Gather information about the jobs being evaluated from job analysis**
- II. Determining factors that are to be used in determining the worth of different jobs to the organization like education, skill, initiative, responsibility, working conditions, physical and mental effort, experience, etc.**

Cont'd

III. Determine the method of evaluation that will use the chosen factors for evaluating the relative worth of the different jobs.

- The most common kinds of job evaluation methods include **point method, factor comparison, job classification and job ranking.**
- The first two are **quantitative** methods and the remaining are **qualitative.**

IV. Grading the jobs according to their importance.



Cont'd

Problems in Job Evaluation

- **The worth of all occupations cannot be precisely measured with the same yardstick (standard)**
- **It is difficult to measure the worth of scientific, technical, professional, and managerial jobs.**
- **It is difficult to separate the individual's contribution from the job being evaluated**

4.2. Wage and Salary Survey

- It is used to collect comparative information on the policies, practices, and methods of wage payment from selected organizations in a given geographic location or a particular type of industry.
- Conducting wage and salary survey is useful to ensure **external equity** by providing information about the labor market

Cont'd

- In order for the survey to be effective, it is essential to identify the jobs to be surveyed and also the organizations and their geographic location.



Some of the issues usually included in the survey include:

Cont'd

- **Length of workday**
- **Starting wage rates**
- **Base wage rates**
- **Overtime Pay**
- **Vacation and holiday practices**
- **Pay ranges, Incentive plans, etc.**

5. Employee Benefits (Fringe Benefit)

- **It refers to benefits given to employees in addition to salary or wages.**
- **They constitute significant portion of the employees pay.**
- **Unlike wages and salaries, benefits are not usually related to employee performance.**

Cont'd

 **Broadly classified, there are two types of fringe benefits:**

- 1. Time-off pay**
- 2. Non-pay benefits**

Cont'd

1. Time-off Pay:

- Time-off pay are payments for the time not worked and include **paid vacations, paid holidays, paid sick leaves, pension programs, rest periods, etc.**



Cont'd

- **Paid Vacations:** Organizations provide employees a certain number of paid vacation days in a year.
- The number of days may vary according to how long an employee has worked for an organization.
- Usually, paid vacation times increase with seniority.
- **Sick Leaves:** Providing employees with pay for days not worked because of illness.



Cont'd

- **Pension Programs:** It represents a fixed payment other than wages, made regularly to former employees or their surviving dependents.

Cont'd

2. Non-pay Benefits:

- These are benefits not paid in cash but include expenditures on items such as medical services, transportation accommodation, insurance, cafeteria services, education programs, child care services, and others.

Cont'd

- These benefits can be classified as **mandated (legally required) benefits** and **discretionary (Voluntary) benefits**.
- However, the categorization of these benefits might have a bit differences from country to country.



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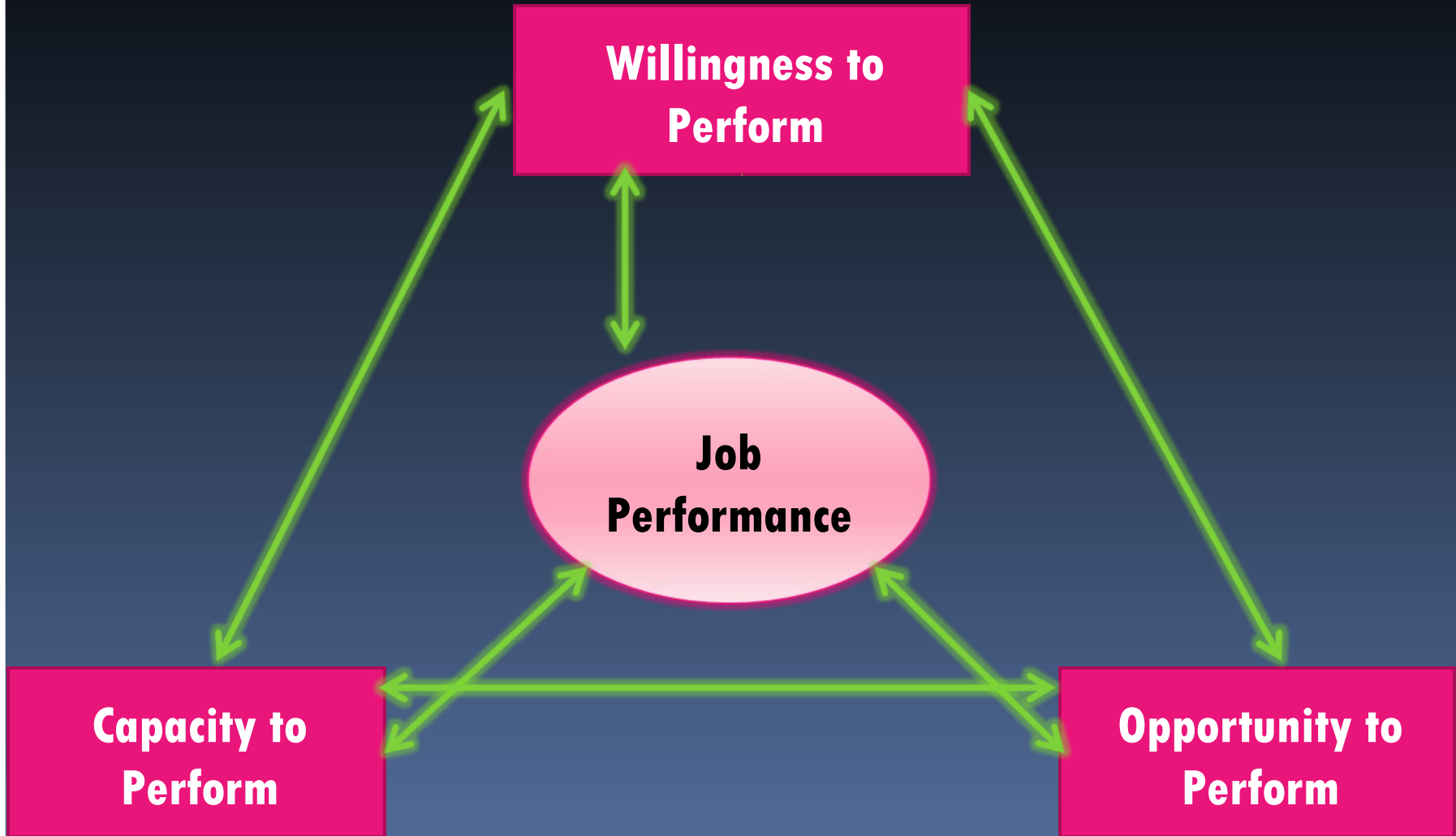
Mandated Benefits

- **Social security**
- **Unemployment compensation**
- **Worker's compensation**
- **Family and Medical Leave**

Voluntary Benefits

- **Health care**
 - **Life Insurance**
 - **Retirement plans**
 - **Payment for time not worked**
 - **Employee Stock Option Plans (ESOP)**
- etc**

Employee Motivation





Chapter Eight

Integration & Maintenance

1. Labor Relations: Definition

- It is a continuous relationship between a defined group of employees (represented by a union or association) and an employer. It is also known as **employee relations**.
- The relationship includes the initial recognition of the rights and responsibilities of union and management, the negotiations of a written contract concerning wages, hours, and other conditions of employment, and the interpretation and administration of this contract over its period coverage.

Cont'd

- There are three parties in employee relations: **the employees, the employer, and the government.**
- Employees are represented by **labor union.**
- A labor union is a group of employees who have joined together to achieve present and future goals that deal with **employment condition.**
- The role of the government in labor relations is developing the framework of the employee relations through laws (**Eg. The Ethiopian Labor Law**).

Why do employees join unions?

The major reasons include:

- **Job Security**
- **Socialization**
- **Safety & Health**
- **Communication Link**
- **Fair & Equitable Compensation**

2. Collective Bargaining

- It is the process through which representatives of management and the union meet to negotiate a labor agreement.
- Under law, both management and the union are required to negotiate wages, hours, and terms and conditions of employment “**in good faith**”.
- Good faith bargaining means that both parties are making a reasonable effort during communication and negotiation to arrive at an agreement.

Cont'd

- **The process of collective bargaining includes three phases:**
 - 1. Preparation,**
 - 2. Negotiation, and**
 - 3. Administration of the contract.**

Cont'd

Preparation:

- **Developing offensive or defensive strategies**
- **Assess internal and external environment that may affect the outcome of the negotiation (legal, economic, political, and social, etc.)**
- **Study the intentions and capacities of the other party.**

Cont'd

Negotiation:

The most typical bargaining/negotiating stages involve:

1. Each side presents its demands (usually the demands are very far apart in some issues)
2. Reduction of demands: each side trades off some of its demands to gain others.
3. Subcommittee studies: the parties form joint subcommittees to develop reasonable alternatives.



Cont'd

- 4. If they agree, informal settlement is reached and each group goes back to its sponsor-union representatives to their supervisors and members; management to the top management.**
- 5. If everything is in order, formal agreement is reached and signed.**



Cont'd

- If an agreement is not reached by the parties, a situation called **impasse** occurs.
- Impasse is a situation in which parties cannot reach settlement.
- In order to resolve such disagreement, a “**third party**” may be involved.
- An intervention by a third party is used to overcome an impasse, such as **mediation, fact-finding, and arbitration**.

Cont'd

Administration of the contract:

- **It involves the activities necessary to put the agreed upon contract in practice including adequate communication of the agreement to the concerned parties.**

3. Grievance Handling: Definition

- **Dessler** defines grievance as any factor involving wages, hours, or conditions of employment that is used as a complaint against the employer.
- **Beach** defines a grievance as “**any dissatisfaction or feeling of injustice** in connection with one’s employment situation that is brought to the notice of the management”.



Cont'd

- **Grievances may arise from various sources and their seriousness also varies accordingly.**
- **Some grievances arise from discipline cases, seniority problems (including promotion, transfers, layoffs, etc.) job evaluation results, work assignments, benefits, etc.**
- **As grievance is often a symptom of an underlying problem, it requires careful analysis of the situation to prevent repeated problems from occurring.**

Cont'd

Grievance Procedure:

- **It is an orderly system whereby disputes between management and union/employees are resolved in a series of steps.**
- **Grievance procedure differs from organization to organization.**
- **Some organizations have very simple procedures involving only two steps while others may have very long steps before resolving the problem.**

4. Disciplinary Action: Definition

- Discipline is a procedure that corrects or punishes a subordinate because a rule or procedure has been violated.
- Most contracts agreed by management and unionized organization provide management with the right to discipline workers following set disciplinary procedures.
- Incompetence, misconduct, and violation of contracts are some of the areas likely to initiate a disciplinary action.

Cont'd

 **The most common types of disciplinary actions include:**

- **Oral reprimand,**
- **Loss of privileges,**
- **Fines layoff,**
- **Demotion,**
- **Suspension, and**
- **Dismissal.**

Cont'd

 **A fair discipline process is based on three prerequisites:**

- 1. Rules & regulations,**
- 2. A System of progressive penalties, &**
- 3. An appeal process.**



Cont'd

1. Rules and regulations:

- A clear definition of rules and regulations should be set to help employees know before hand **what is expected of them** while working in that organization.

Cont'd

2. A System of progressive penalties:

- Penalties may range from oral warning to written warning to suspension from the job or to discharge.
- The higher and more frequent the offence is, the more severe the penalty becomes.

3. Appeal Process:

- In order to ensure the disciplinary action is fair and equitable, there has to be an appeal process.



4.1. Disciplinary process

 **The disciplinary process may involve the following steps:**

- 1. Establishing work and behavior rules.**
- 2. Communicating these rules to employees**
- 3. Establishing effective assessment mechanisms (performance appraisal or observation)**



Cont'd

- 4. Collecting full information on the case and deciding on the type of penalty. (Usually based on set policies and procedures)**
- 5. Administering punishment or motivating change.**
- 6. Following-up the case.**

4.2. Disciplinary Action Guidelines

 **The following major guidelines are useful in the disciplinary process:**

- I. Discipline action should be applied consistently i.e. similar incidents should get similar treatment.**
- II. The employee should be adequately warned of the consequences of his/her alleged misconduct.**
- III. Disciplinary action should be taken in private.**

Cont'd

- IV. Penalty should always carry with it constructive element. The employee should be told clearly the reasons for the action to be taken.**
- V. Disciplinary action should be taken promptly in order for the employee to understand clearly the relationship between the penalty and the offensive act.**



Cont'd

- VI. As much as possible, disciplinary action should be applied by the immediate supervisor.**
- VII. After taking the disciplinary action, an attempt should be made to assume a normal attitude toward the employee.**



Chapter Nine

Promotions, Transfers & Separation

1. Promotion: Definition



Cont'd

- **Advancement within a organization is ordinarily labeled as 'Promotion'.**
- **It is an upward movement of an employee from current job to another that is higher in pay, responsibility, status and organizational level.**
- **A mere shifting of an employee to a different job which has better working hours, better pleasant working conditions does not imply promotion.**
- **It is a vertical movement in rank and responsibility.**

Cont'd

- According to **E.B. Flippo** “promotion involves a change from one job to another that is better in the terms of **status and responsibilities**”.
- According to **Scott and Spreigal**: “A Promotion is the transfer of an employee to a job that pays more **money** or that enjoys some preferred status”.

Cont'd

Examples of promotion:

- **HR Assistant receives a promotion to HR Generalist**
- **HR Generalist receives a promotion to a dual role of HR Generalist and Employee Development Coordinator**
- **HR Generalist is given a promotion to HR Manager**
- **HR Manager is given a promotion to Manager of Human Resources and Administration**
- **HR Manager is promoted to HR Director**



Purpose of Promotion

- **To recognize an employee's performance and commitment/loyalty and motivate him/her towards better performance**
- **To boost the morale and sense of belonging of employees.**
- **To retain skilled and talented employees.**



Cont'd

- **To develop a competent internal source of employees for higher level jobs**
- **To utilize the knowledge and skills of the employees more effectively.**
- **To attract suitable and competent workers for the organization.**

Types of promotion

🌟 Four Major Types:

- **Dry Promotion:** Where an employee is promoted to higher position and responsibility **without any increment in salary**
- **Vertical Promotion:** In this type the employee is moved to the **subsequent higher level** accompanied by greater power ,responsibility, position and salary

Cont'd

- **Up gradation:** The job is promoted in the **organizational hierarchy**. as a result ,the employees obtain additional salary, higher responsibility and power.
- **Up or Out:** In this, person must **earn promotion or search employment** elsewhere.



Bases of Promotion

Seniority

- Seniority means length of recognized service in an organization
- Seniority means the calculation of time from when an employee has joined the company and served for how many years in the company.

Merit/Skill

- Merit means **ability to work** .
- It denotes an individual employee's skill, knowledge, ability, efficiency and aptitude as measured from educational, training and past record

Cont'd

- **The senior most person in the lower grade shall be promoted as and when there is an opening in the higher position**
- **Seniority is suggested as the criteria for promotion on the plea that there is a positive correlation between length of the service and talent**
- **If the merit is adopted as basis of promotion then the person in the lower grade ,no matter his junior most in the company, shall be promoted.**
- **It encourage all employee to improve their efficiency**

Advantages of the Bases

Seniority

- Easy to measure the length of service
- Labor union generally emphasis on seniority.
- Security and certainty is also plus point
- Minimize the scope of grievances and conflicts

Merit/Skill

- It implies the knowledge, skills and performance record of an employee.
- It motivates competent employees to work hard and acquire new skills.

Cont'd:

Advantages of the Bases

- **Reducing labor turnover**
- **It provides a sense of satisfaction to senior employees.**
- **It helps to maintain the **efficiency** of the organization by recognizing talent and performance**
- **It helps to attract and retain young and promising employees in the organization**



Cont'd:

Disadvantages of the Bases

Seniority

- **The assumption that the length of the service indicates talent is not valid because beyond a certain age a person may not learn.**
- **Performance and potential of an individual is not recognized.**

Merit/Skill

- **Measuring merit is not easy, subjective judgement may involve.**
- **Many employee, particularly labor unions distrust the management's integrity in judging merit.**

Cont'd:

Disadvantages of the Bases

- **It demotivate and demoralize the young employees who are talented**
- **Kills the zeal and interest for self development**
- **The concern fails to attract young and hardworking employees**
- **When younger employees are promoted over the older one, the older employees may feel insecure. They may leave the organization as well.**

2. Transfer: Definition





Cont'd

- A transfer is a **horizontal or lateral movement** of an employee from one job, section, department, shift plant or position to another at some other place where salary, status and responsibility are usually the same.

Cont'd

- Transfer is defined as “a **lateral shift** causing movement of individuals from one position to another usually without involving any kind of change in duties, responsibilities, skills needed or compensation”.





Purpose of Transfer

- **To meet organizational needs.**
- **To meet employees own request.**
- **To utilize services of an employee properly when he/she is not performing and management feels he/she may be useful elsewhere.**
- **To increase versatility of the employee.**

Cont'd

- **To adjust the workforce.**
- **To replace new employee by an employee who has been in the organization on a certain job for a sufficiently long time.**
- **To penalize employee or due to avoid labor union pertaining issues.**



Policy for Transfer

- **The policy must be impartial and known to each employee.**
- **The basis of the transfer should be indicated i.e. based on seniority or skill.**
- **Decide the rate of pay to be given to the transferee.**
- **Intimate the fact of transfer to the person concerned well in advance.**



Cont'd

- **Should be in writing and duly communicated to all concerned.**
- **Locate the authority in some officer who may initiate and implement transfers.**
- **Transfer cannot be made frequently and not for the sake of transfer only.**
- **Facilities such as leave, special allowance for shifting, etc. should be clearly prescribed to the transferee.**

Types of Transfer

Intradepartmental transfers:

- **Within same section of the same department and effected without the issue of any transfer order to the employee.**
- **He/she may be given oral instructions. However must be informed of such transfers.**

Cont'd

Interdepartmental transfers:

- **From one department to another are decided by mutual consultations among the departmental heads when such transfers are of the permanent nature or long duration.**
- **Written orders signed by the personnel manager are issued to the employee.**



Benefits of Transfer

- **Increase in productivity and effectiveness of the organization.**
- **Greater job satisfaction to employees.**
- **Stabilize fluctuating job needs.**
- **Improve employee skills.**
- **Remedy for wrong placement.**
- **Improve labor relationships.**

Cont'd

- **Develop employees for future promotions.**
- **Avoid monotony and boredom.**



3. Demotion: Definition





Cont'd

- **Demotion has been defined as the assignment of an individual to a job of lower rank and pay usually involving lower level of difficulty and responsibility.**
- **Demotions serve as a useful purpose in the sense that they keep the employees alert and alive to their responsibilities and duties.**

Cont'd

- Demotion is the **antithesis of promotion** where in an employee is demoted to the post at a lower level.
- **Example: a manager may be demoted as supervisor.**

Causes of Demotion

- **When departments are combined, bosses are often required to accept lower level position since jobs are eliminated.**
- **Inadequacy on the part of the employees in terms of job performance, attitude and capability.**
- **When older employees are unable to adjust as per change in technology.**
- **Health or personal reasons.**
- **Demotion is also used as disciplinary measure.**



Demotion Policy

- **A clear transparent and set of reasonable rules should be framed, violations of which would subject an employee to demotion.**
- **The information should be clearly communicated to employees.**
- **If violations are discovered, there should be consistency in penalties.**
- **There should be competent investigation of any alleged violation.**
- **There should be a provision for review.**

Demotion: Salary structure

- **The employee's salary may remain the same if it is within the range of the lower class or it may be reduced.**
- **If the employee's salary is above the maximum of the lower grade, then the salary must be reduced to at least the maximum of the lower grade.**

Effects of Demotion

- **Demotions have a serious impact on the need fulfilment.**
- **There is emotional turmoil, inefficiency and resignation.**
- **Hence demotions are made quite infrequently.**
- **Many managers prefer to discharge employees rather than face the problems arising from demotion.**



4. Separation: Definition

- Separation means cessation of service with the organization for one or other reason.

 The employee may be separated from HR payroll due to:

- Resignation
- Discharge & Dismissal
- Suspension
- Retrenchment or Lay off

Cont'd

Resignation:

- **Resignation may be put in voluntary by the employees on the ground of health, better opportunities elsewhere or maladjustment with the company policy and officers or for reasons of marriage.**

Cont'd

Discharge:

- **A discharge involves permanent separation of an employee from the pay roll for violation of company rules or for inadequate reasons.**
- **Proper procedure of discharge must be conducted and it should not be an impulsive act.**
- **There has to be a written warning for the same along with discharge letter at the time of discharge.**
- **Adequate provision should exist for review of discharged employee's case.**

Cont'd

Dismissal:

- A dismissal is the termination of services of an employee by the way of punishment for some misconduct or for some unauthorised and prolonged absence from duty.

Suspension:

- It may be awarded during inquiry is being conducted. During suspension employee gets subsistence allowance.

Cont'd

🌟 Retrenchment or Lay off:

- Permanent termination for economic reasons of the organization.
- Notice in writing needs to be given some time a head of separation time to the employee



Chapter Ten

Sexual Harassment in the Workplace



September 23, 2026



Chapter Outline

- **Definition of Sexual & General Harassment**
- **Types of Harassment**
- **You & Your Organization's Responsibility**
- **The Organization's Policy**
- **What to Do When Harassment Occurs**

What is Harassment ?

- **Behavior which has the effect of humiliating, intimidating, or coercing someone through personal attack.**
- **Behavior that can cause the recipient to be embarrassed, uncomfortable and cause emotional distress.**

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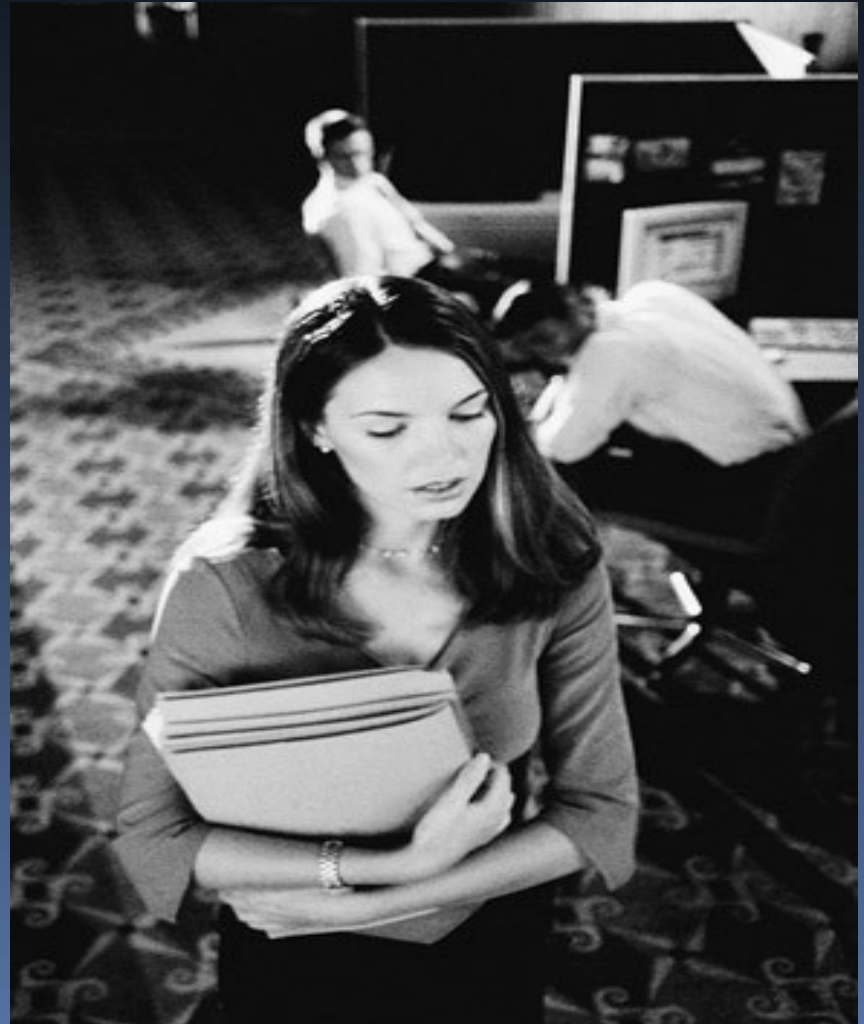
- Harassment is unwelcome conduct which is taken because of a protected personal characteristic and which creates an abusive job environment.

There are three requirements:

- Unwelcome conduct
- Because of protected characteristic
- Hostile/Abusive environment

What is Sexual harassment?

- Unwelcome verbal, visual, or physical conduct of a sexual nature that is severe or pervasive and affects working conditions or creates a hostile work environment.



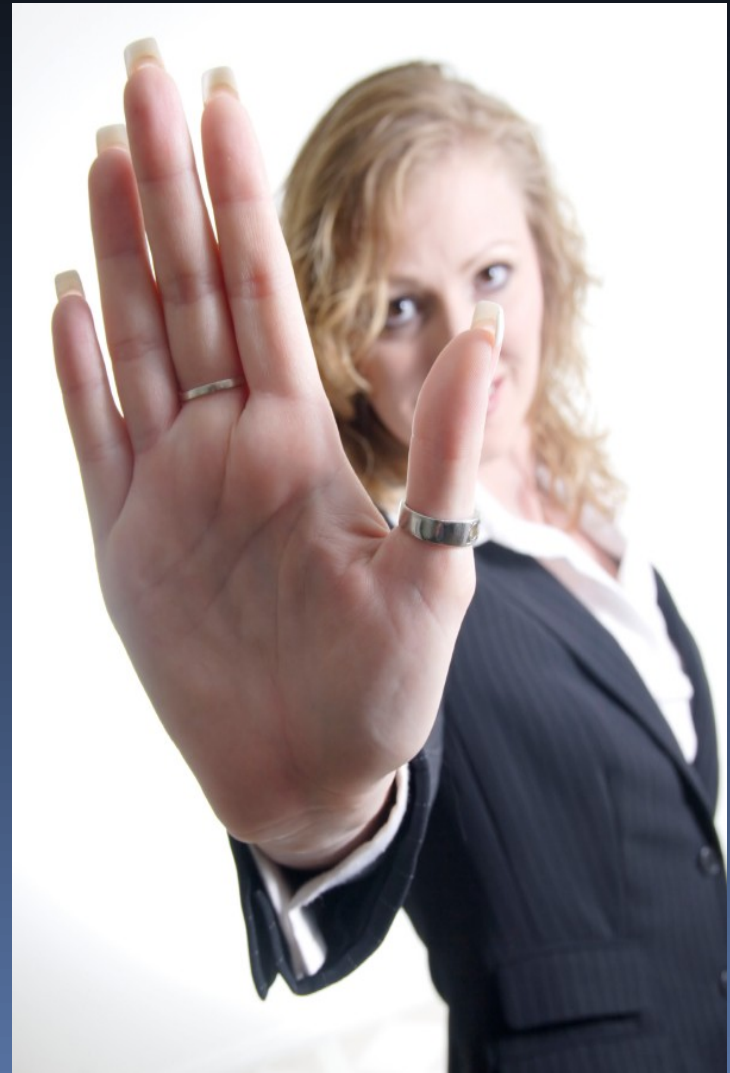
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September 23, 2026

Breaking down the definition : “Conduct”

- Conduct is NOT sexual harassment if it is welcome. For this reason, it is important to communicate (either verbally or in writing) to the harasser that the conduct makes you uncomfortable and you want it to stop.



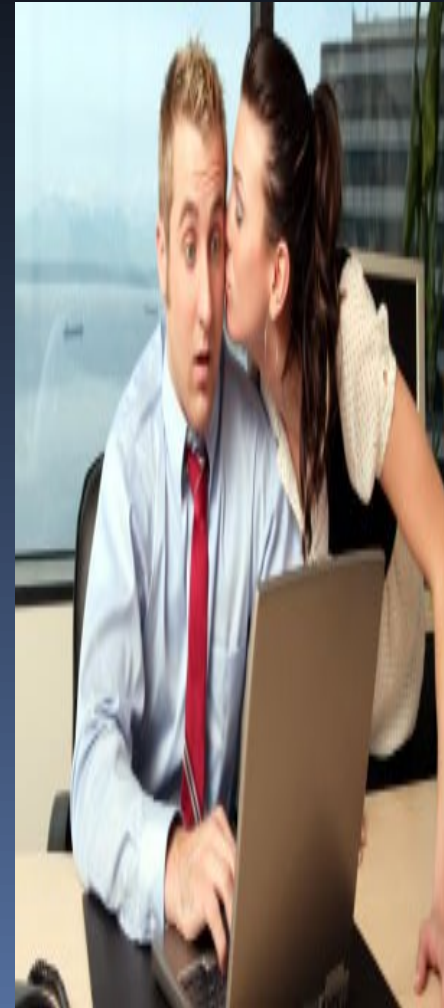
“Of a Sexual Nature”

- **Verbal/Written:** Comments about clothing, personal behavior, or a person’s body; sexual or sex-based jokes; requesting sexual favors or repeatedly asking a person out; sexual innuendoes; telling rumors about a person’s personal or sexual life; threatening a person, sending emails or text messages of a sexual nature



Cont'd

- **Physical:** Assault; impeding or blocking movement; inappropriate touching of a person or a person's clothing; kissing, hugging, patting, stroking
- **Nonverbal:** Looking up and down a person's body; derogatory gestures or facial expressions of a sexual nature; following a person
- **Visual:** Posters, drawings, pictures, screensavers, emails or text of a sexual nature





Of a Non-Sexual Nature

- **Non-sexual conduct may also be sexual harassment if you are harassed because you are female, rather than male, or because you are male, rather than female.**
- **For example, it may be sexual harassment if you are a woman working as a carpenter on an all-male job, and you are the only one whose tools are frequently hidden by your male co-workers.**

“Severe or Pervasive”

- **The conduct of the harasser must be either severe or pervasive to be classified as sexual harassment.**
- **Although a single unwanted request for a date or one sexually suggestive comment might offend you and/or be inappropriate, it may not be sexual harassment. However, a number of relatively minor separate incidents may add up to sexual harassment if the incidents affect your work environment.**

Questions to ask yourself:

- How many times did the incidents occur?
- How long has the harassment been going on?
- How many others have been sexually harassed?
- Who were witnesses to the harassment?



“Affects working conditions or creates a hostile work environment”

- **It may be sexual harassment if the conduct unreasonably interferes with your work performance or creates an “intimidating, hostile, or offensive work environment.”**
- **For example, it may be sexual harassment if repeated sexual comments make you so uncomfortable at work that your performance suffers or you decline professional opportunities because it will put you in contact with the harasser.**

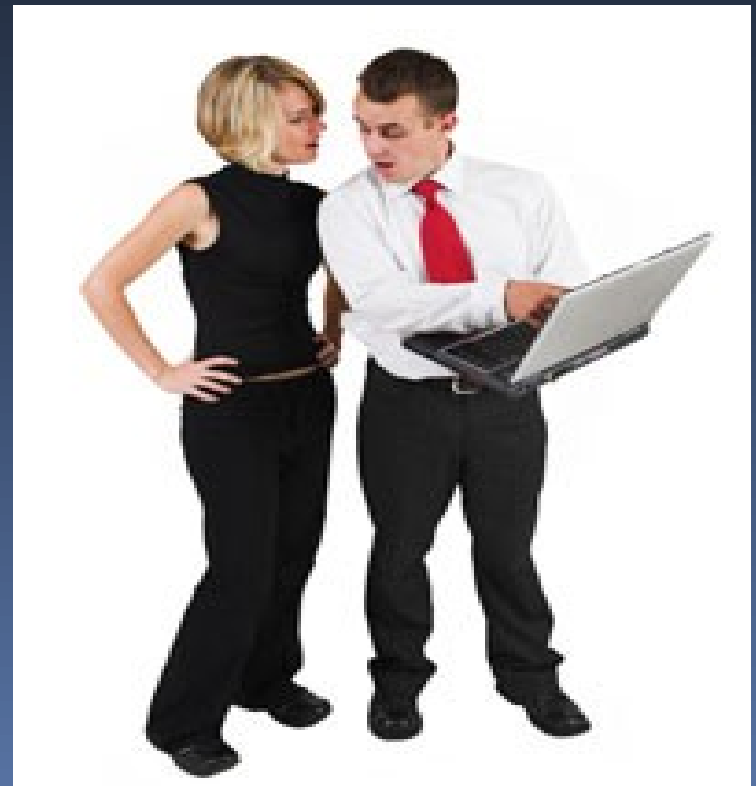
Types of Sexual Harassment

Two Major Types:

Quid Pro Quo
&
Hostile Environment

Quid Pro Quo

- When employment decisions or expectations are based on an employee's willingness to grant or deny sexual favors or willingness to submit to unwelcome behavior.
- “This for that”



Cont'd

Examples of Quid Pro Quo:

- **Demanding sexual favors in exchange for a promotion or a raise**
- **Demanding participation by a subordinate in a religious observance**
- **Changing job performance expectations after subordinate refuses repeated requests for a date**
- **Disciplining or discharging an employee who ends a romantic relationship**



Hostile Environment

- Where **verbal** or **nonverbal** behavior in the workplace focuses on the sexuality of another person or occurs because of a person's gender or other protected characteristic.
- Where verbal or nonverbal behavior in the workplace is **unwanted** or **unwelcome**.
- Where verbal or nonverbal behavior is **severe** or **pervasive** enough to affect the person's work environment.

Behaviors that can be unwelcome and/or sexual in nature

Visual

- **Cartoons**
- **Written documents**
- **Drawings**
- **Computer images**
- **Posters**
- **Objects**
- **E-mails**

Verbal

- **Jokes, remarks, or questions**
- **Propositions for sexual activity**
- **Pressure for dates**
- **Obscene language which is gender specific or sexual in nature**
- **Inappropriate comments about a person's body**

etc

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etc

Physical

- **Assault**
- **Touching**
- **Hugging**
- **Kissing**
- **Pinching**
- **Leering**
- **Gesturing**

etc

Behaviors that are NOT Sexual Harassment

 **Welcomed and NOT sexual in nature:**

- 1. Voluntary lunch or dinner dates – asking a coworker to have lunch or dinner**
- 2. Appropriate compliments – telling a person that his or her outfit is nice**
- 3. Acts of courtesy – opening the door for someone**

Unwelcomeness

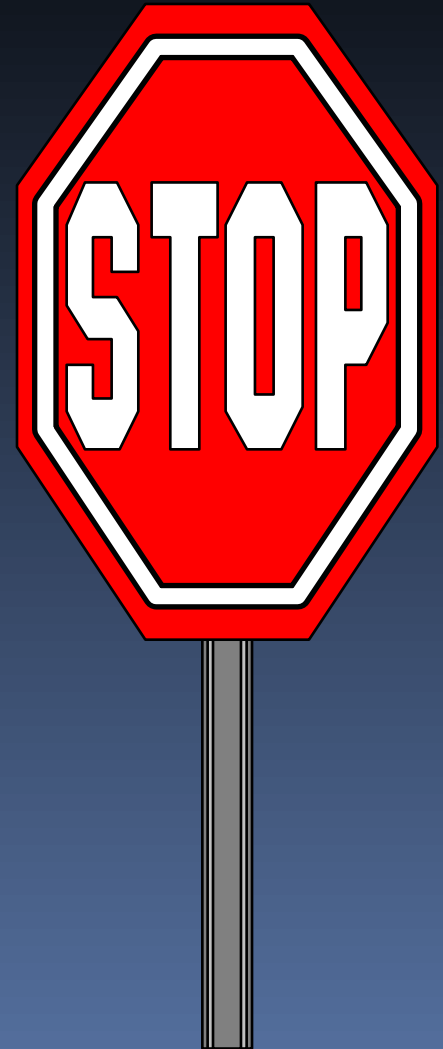
 In order to be “unwelcome” the conduct must be both:

1. Actually offensive to the victim and
 2. Not solicited or invited by the victim
- If the conduct is welcomed, then the conduct cannot be considered when deciding if there was an abusive environment.

Cont'd

🌀 **Evidence that the victim found the conduct **unwelcome** includes:**

1. The victim told the harasser to stop.
2. The victim moved away when the behavior occurred or looked away from the harasser when the joke was told.
3. The victim met the joke with a prolonged stony silence.



Cont'd

 **Evidence that the victim found the conduct welcome includes:**

- The victim engaged in similar banter with the harasser just prior to the harassing statements.
- The victim initiated physical contact with the alleged harasser
- The victim laughed after the supposedly harassing joke and remarked it was a “good one”.

Cont'd

 **The following do not mean that the conduct was welcomed:**

- **The victim did not complain to others about it at work.**
- **The victim engaged in bawdy conduct outside the workplace on their own time.**
- **The victim was heard to use curse words from time to time.**



Abusiveness

 **The requirement of an abusive job environment is broken into three parts:**

- 1. Subjectively abusive**
- 2. Objectively abusive**
- 3. Part of the job environment**

Cont'd

- A job environment is **subjectively** abusive if the Complainant actually **believes** it is abusive.

🌿 **Evidence that the Complainant has a subjective belief of abusiveness includes:**

- Complainant states that they felt the environment was abusive. This could be corroborated by Complainant seeking professional counseling.
- Complainant complained to other people about the environment (whether or not “officially”).
- Witness report that Complainant was very upset following incidents of harassment.

Cont'd

- A job environment is **objectively** abusive if a **reasonable** person would find the environment abusive.

 **Factors in deciding whether the environment is objectively abusive include:**

- Frequency
- Severity
- Physically threatening or humiliating
- Unreasonably interferes with job performance
- Effect on psychological well-being



Cont'd

- **Frequency & Severity** of the harassment are the most important factors.
- They add together to make how bad the environment is. If it is bad enough it is **“abusive”**.
- **As the severity goes up, the frequency needed goes down.**

Is it Harassment?

- When in doubt about the appropriateness of particular behavior consider the following:
 - Would I behave the same way if my mother or child were standing next to me?

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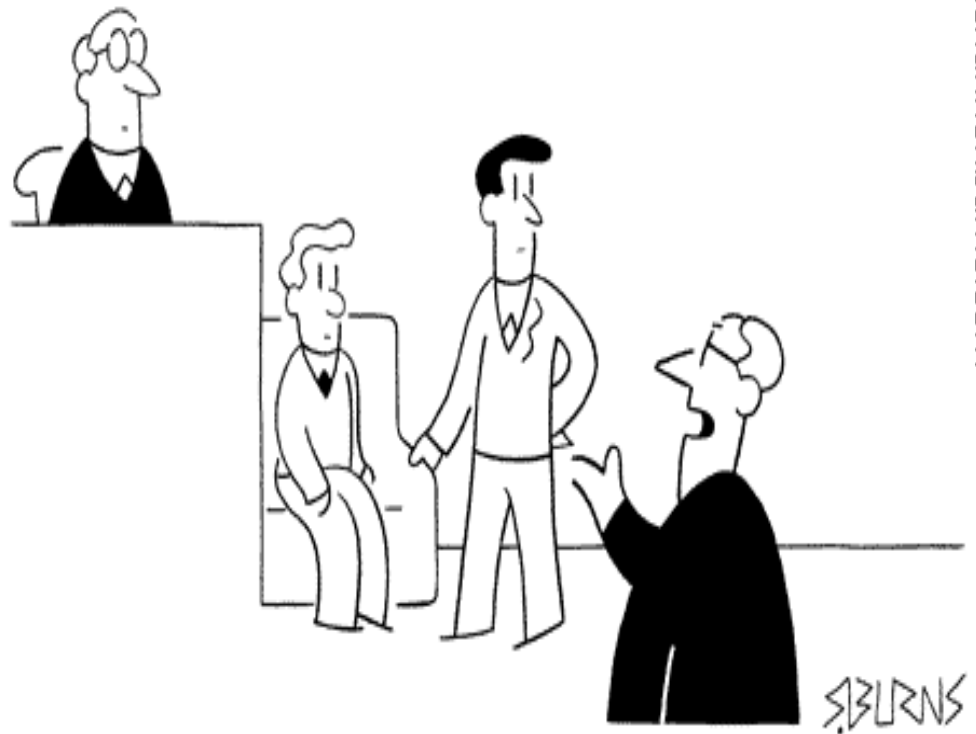
Is it Harassment?

- **When in doubt about the appropriateness of particular behavior consider the following:**
 - **Would I want my behavior to be the subject of a report on the evening news?**
 - **Would I want to describe my behavior in court in front of a judge or jury?**

Cont'd

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"Your Honor, I object!
This line of questioning is making my client look really bad."

September 23, 2026

What is the Employee's Responsibility?

- **Understand**

- **Know company policy and the law**
- **Adhere to policy and the law**
- **Be careful**

- **Be Watchful**

- **Pay attention to coworkers- avoid inadvertent offense**
- **Look for subtle forms of harassment**
- **Report any instances**

Cont'd

- **Be active**

- Confront harassers directly, if you are comfortable doing so
- If confrontation fails, file a grievance
- Document ALL instances- detail Detail
DETAIL!

- **Be courteous**

- Pleasantries are always allowed
- Remember, jokes that end with “If they weren’t watermelons, what *were* they?” aren’t funny to everyone.
- Reference the Golden Rule



Cont'd

- **Think!**

- **Don't tweak "brittle" people for sport**
- **Try to avoid loaded words; you're intelligent enough to express displeasure without the "F" word**
- **Ask yourself (or others): Am I offending anyone?**

- **Be Professional**

- **Keep your personal life personal, and your work life professional**
- **Treat other employees, above and below you, with respect**

Employee Responsibilities & the public

- **Employees who deal directly with customers, the public or with personnel from other organizations, must always ensure that their own behavior is acceptable.**
- **They are also strongly encouraged to report incidents of unwelcome behavior by others.**
- **You do not have to tolerate unwelcome behavior by the public, but like everyone else, you must act responsibly when dealing with unwelcome conduct.**



Supervisors and Employees DO'S

Supervisors:

- **Take the situation seriously**
- **Communicate with employee**
- **Act immediately to stop behavior**
- **Maintain confidentiality**
- **Remain neutral**

Employees:

- **Resolve at lowest possible level - whenever possible**
- **Report it to your supervisor**
- **Contact Human Resources for assistance**
- **Document actions**



Your Organization's Obligation

- **Your Organization has the obligation to have a work place that is free of discrimination and harassment of any type**
- **Having an anti-harassment policy is a step in the right direction**



Anti-Harassment policy

- **Statement prohibiting harassment**
- **Definition of harassment and examples of prohibited behaviors**
- **Explanation of complaint procedures and designation of persons to whom complaints should be made**
- **Assurance that a prompt, thorough and confidential investigation will take place**

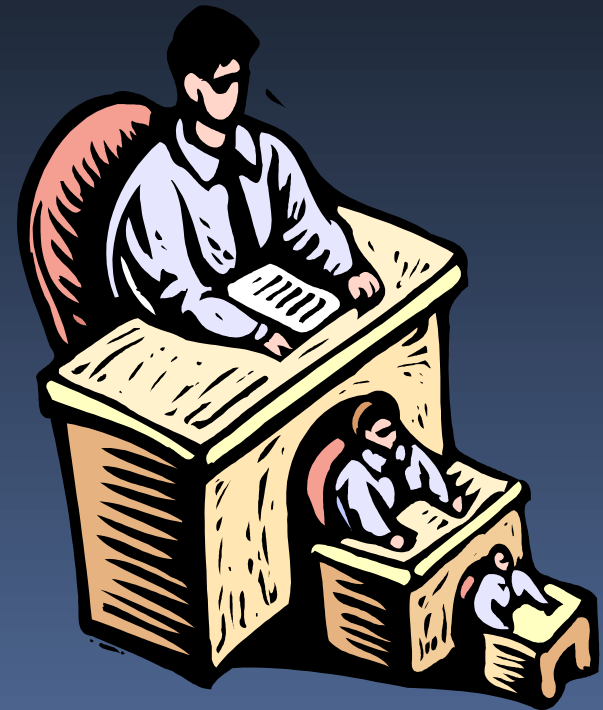


Cont'd

- **Assurance that if a violation of the policy is found, that there will be prompt, corrective action by the employer.**
- **Assurance that there will be no retaliation for reporting the harassment.**

Employer Liability

- The employer is subject to liability if the harassment was committed by a supervisor with immediate or successively higher authority over the employee.



Affirmative Defense: Acts of Supervisor

Employer must show that:

- Employer exercised reasonable care to prevent and promptly correct harassing behavior.
- Employee unreasonably failed to take advantage of preventive or corrective opportunities or to otherwise avoid harm



Employer Liability for Acts of Supervisors

Quid Pro Quo

- **Employer is always liable for acts of supervisor**
- **Cannot raise affirmative defense to avoid or limit liability**

Hostile work environment

- **Can raise affirmative defense to avoid or limit liability**

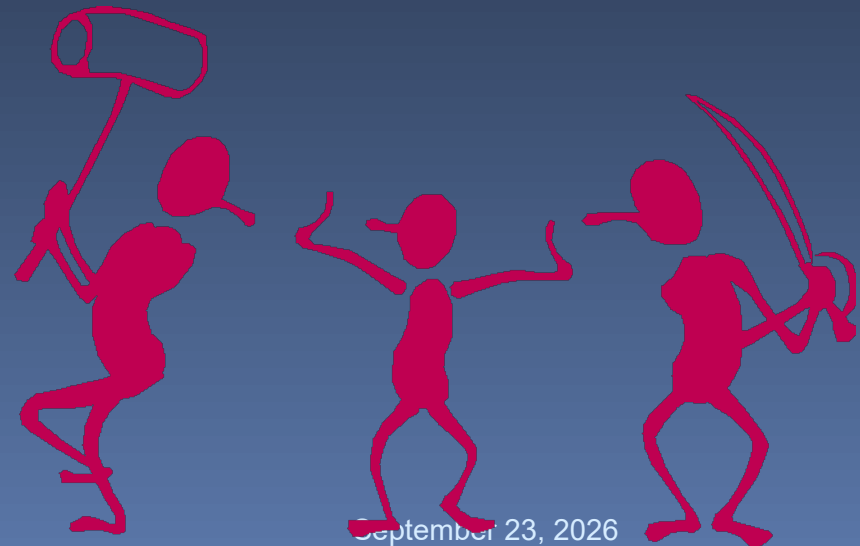
Employer Liability: Acts of Coworkers or nonemployees

Coworkers:

- If knew or should have known of the misconduct
- Unless can show they took immediate and appropriate corrective action(s)

Nonemployees:

- Employer's control over individual's misconduct is considered



**BE RESPONSIBLE &
STOP
SEXUAL
HARASSMENT!!**

STOP



THE END OF THE COURSE!!

THANK YOU!!

ANY QUESTION?